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June 23, 2017

VIA FIRST CLASS MAIL

Ms. Rachel Dickon
Assistant Secretary of Federal Maritime Commission
800 North Capitol St.
Room 1046
Washington, D.C. 20573

Re: Docket No. 15-11 – Ovchinnikov v. Hitrinov

Dear Ms. Dickon:

Enclosed for filing in the above-captioned matter are an original true copy and five (5) additional copies of:

1. Respondents' Reply to Exceptions
2. Notice of Appearance for Carolyn Lowry

If you have any questions, please do not hesitate to contact me.

Best regards,

Eric Jeffrey

Carolyn Lowry

Enclosures

FEDERAL MARITIME COMMISSION

WASHINGTON, D.C.

DOCKET NO. 15-11

IGOR OVCHINNIKOV, ET AL

v.

MICHAEL HITRINOV ET AL

Consolidated With
DOCKET NO. 1953(I)

KAIRAT NURGAZINOV, ET AL

v.

MICHAEL HITRINOV ET AL

NOTICE OF APPEARANCE

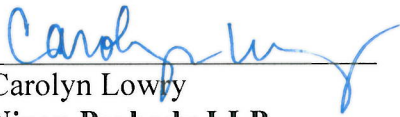
Please enter my appearance in this proceeding as counsel for Respondents Empire United Lines, Inc. and Michael Hitrinov.

I certify I am an attorney admitted to practice and in good standing before the courts of the District of Columbia.

I request to be informed of service of notices, orders and decisions in this proceeding by electronic mail to:

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Respectfully submitted,



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Dated: June 23, 2017

FEDERAL MARITIME COMMISSION

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DOCKET NO. 15-11

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RESPONDENTS' REPLY TO EXCEPTIONS

TABLE OF CONTENTS

	Page
INTRODUCTION	1
CITATION CONVENTIONS AND GLOSSARY OF TERMS	4
CORRECTED STATEMENT OF FACTS AND PROCEDURAL HISTORY	5
ARGUMENT	11
I. THE PRESIDING OFFICER CORRECTLY APPLIED FMC PRECEDENTS	12
A. Legal Standards	12
B. Application of Standards	13
II. COMPLAINANTS' CAVILS ARE IMPROPERLY RAISED AND MERITLESS	20
A. Complainants' Claim to be "Ultimate Consignees" Is Wrong	21
1. The Commission May Not Interpret/Apply the Export Rules.	22
2. The Export Rules Do Not Override the Shipping Act.	23
3. Complainants Misrepresent the Export Rules	25
4. Additional Errors Underlying Complainants' Argument.	28
a. EUL Did Not Act as an Ocean Freight Forwarder.	29
b. Complainants Misstate How the Industry Operates	32
c. There Are No "Missing" Documents	33
d. EUL Had No Knowledge of Complainants – Actual or Imputed.	34
i. EUL Had No Actual Knowledge of Complainants	35
ii. Knowledge May Not Be Imputed to EUL	38
B. The ALJ Did Not Improperly "Delimit" Standing	38
C. Complainants Are Not Entitled to Additional Discovery or Evidentiary Hearing	40
1. Complainants Forfeited Any Further Discovery or Evidentiary Hearing.	40
2. Complainants' Claims Are Specious.	43
D. Complainants' Factual Quibbles Lack Merit	49
CONCLUSION	55

TABLE OF AUTHORITIES

	Page(s)
FEDERAL CASES	
<i>Access Telecom, Inc. v. MCI Telecoms. Corp.</i> , 197 F.3d 694 (5th Cir. 1999)	41
<i>Acosta v. Fast N Esy II</i> , 2017 WL 75796 (E.D. CA, filed January 9, 2017)	45
<i>American Union Transport v. River Plate & Brazil Conferences</i> , 5 F.M.B. 216, 224 (1957)	23
<i>Anglin v. Social Sec. Admin.</i> 602 Fed. Appx. 483 (11th Cir. 2015).....	20
<i>Arbaugh v. Y & H Corp.</i> , 546 U.S. 500 (2006).....	12
<i>Augustine v. United States</i> , 704 F.2d 1074 (9th Cir. 1983)	45
<i>Avila v. Travelers Ins. Co.</i> , 651 F.2d 658 (9th Cir. 1981)	41
<i>Bimsha International v. Chief Cargo Services, Inc.</i> , 32 S.R.R 353 (Init. Dec. 2011), affirmed 32 S.R.R 1861 (FMC 2013).....	18, 39
<i>Bischoff v. Osceola County</i> . 222 F.3d 874 (11th Cir, 2000)	48
<i>Booking v. General Star Management Co.</i> , 254 F.3d 414 (2nd Cir. 2001).....	20
<i>Bradley v. United States</i> , 299 F.3d 197 (3d Cir. 2002).....	41
<i>Burlington Northern RR v. M.C. Terminals, Inc.</i> , 26 S.R.R. 682 (Init. Dec. 1992), reversed.....	35
<i>Burlington Northern RR v. M.C. Terminals, Inc.</i> , 26 S.R.R. 934 (FMC 1993)	35
<i>Ca’ de Be’ Imports, Inc. v. Zim-American Israeli Shipping Co.</i> , 2006 U.S. Dist. LEXIS 127, 2006 WL 23547 (E.D. Pa. Jan. 4, 2006).....	31

<i>Cargill v. Waterman SS Corp.</i> , 21 S.R.R 287 (FMC 1981).....	14
<i>Carrier International Corp. v. Waterman SS.</i> , 23 S.R.R. 689 (FMC 1985).....	20
<i>Chandler v. State Farm Mutual Auto Insurance Co.</i> , 598 F.3d 1115 (9th Cir. 2010)	12
<i>Cope v. Felts</i> , No. CIV A 505-CV-01175, 2007 WL 858621, 2007 U.S. Dist. LEXIS 19426 (S.D. W. Va. 2007).....	45
<i>Crisp v. Dutton</i> , No. A-15-CV-0431-LY-ML, 2015 WL 7076483, 2015 U.S. Dist. LEXIS 153021 (W.D. Tex. 2015)	46
<i>DDB Technologies, LLC v. MLB Advanced Media, L.P.</i> , 517 F.3d 1284 (Fed. Cir. 2008).....	46
<i>DNB Exports LLC v. Barsan Global Lojistiks Ve Gumruk Musavirligi A.S.</i> , 32 S.R.R 550	12
<i>Dowling v. City of Philadelphia</i> , 855 F.2d 136 (3d Cir. 1988).....	42
<i>Eaton v. Dorchester Development, Inc.</i> 692 F.2d 727 (11th Cir. 1982)	46
<i>Edaf Antilles, Inc. v. Crowley Caribbean Logistics LLC</i> , 33 S.R.R 710 (ALJ, Admin Fin. 2014).....	13, 31
<i>Ex Parte No. 598 (Exemption of Freight Forwarders in the Noncontiguous Domestic Trades)</i> , 2 STB 48 (STB 1997).....	29
<i>Flexiteek Americas, Inc. v. PlasTEAK</i> , No. 08-60996-CIV, 2009 WL 890613, 2009 U.S. Dist. LEXIS 88532 (S.D. Fla. 2009).....	46
<i>Goldberg v. Kelly</i> , 397 U.S. 254 397 U.S. 254 (1970)	48
<i>Hernandez-Hernandez v. U.S.</i> , 904 F.2d 758 (1st Cir. 1990).....	20
<i>International Ass’n of NVOCCs v. Atlantic Container Line</i> , 25 S.R.R 734 (FMC 1990).....	12, 22

<i>Johnson v. Conrad</i> , No. 2:14-CV-00596-MCE, 2014 WL 6670054, 2014 U.S. Dist. LEXIS 164237 (E.D. Cal. 2014).....	45
<i>Johnson v. Hernandez</i> No. 2:14-CV-01635-MCE, 2014 WL 6670170, 69 F. Supp. 3d 1030, 2014 U.S. Dist. LEXIS 164234 (E.D. Cal. 2014).....	45
<i>Johnson v. Jacobs</i> , No. 2:14-CV-02323-JAM, 2015 WL 1607986, 2015 U.S. Dist. LEXIS 46706 (E.D. Cal. 2015).....	45, 47
<i>Kobel v. Hapag-Lloyd A.G.</i> , 32 S.R.R. 512 (Init. Dec. 2012), <i>affirmed in pertinent part</i> , 32 S.R.R. 1720 (FMC 2013)	14, 15
<i>Kokkonen v. Guardian Life Ins. Co.</i> 511 U.S. 375 (1994).....	12
<i>Lawrence v. Dunbar</i> , 919 F.2d 1525 (11th Cir. 1990)	46
<i>Libertarian Party of New Mexico v. Herrera</i> , 506 F.3d 1303 (10th Cir. 2007)	42
<i>Lyons-Timmons v. Barnhart</i> , 147 Fed. Appx. 313 (3d Cir. 2005).....	20
<i>Mansfield, Coldwater & Lake Michigan Ry. v. Swan</i> , 111 U.S. 379 (1884).....	12
<i>Martin v. Morgan Drive Away, Inc.</i> , 665 F.2d 598 (5th Cir. 1982)	48
<i>Massachusetts School of Law v. Andover</i> , 142 F.3d 26 (1st Cir. 1998).....	41
<i>Morrow v. Greyhound Lines, Inc.</i> , 541 F.2d 713 (8th Cir. 1976)	20
<i>MSP Recovery LLC v. Progressive Select Insurance Co.</i> , No. 15-20616-CIV, 2015 WL 10457208, 2015 U.S. Dist. LEXIS 134484 (S.D. Fla. 2015)	46
<i>Munoz-Mendoza v. Pierce</i> , 711 F.2d 421 (1st Cir. 1983)	8

<i>Polo Ralph Lauren, L.P. v. Tropical Shipping & Constr. Co.,</i> 215 F.3d 1217 (11th Cir. 2000)	39
<i>Pro Transport, Inc. v. Seaboard Marine of Florida, Inc.,</i> Docket No. 16-12 (Initial Decision April 26, 2017, Admin Final).....	14, 35
<i>Safe Air for Everyone v. Meyer,</i> 373F.3d 1035 (9th Cir. 2004)	44, 45
<i>Sawczyn v. BMO Harris Bank National Association,</i> 8 F. Supp. 3d 1108 (D. Minn. 2014)	46
<i>Sea-Land Dominica, S.A. v. Sea-Land Service, Inc.,</i> 26 S.R.R 578 (FMC 1992).....	12, 13, 14
<i>Smart Garments v. Worldlink Logix Services, Inc.,</i> 33 S.R.R. 65 (FMC 2013).....	18
<i>Taylor Acquisitions, L.L.C. v. City of Taylor,</i> 313 Fed. Appx. 826 (6th Cir. 2009).....	42
<i>Thornhill Publishing Co. v. General Telephone & Electronics Corp.,</i> 594 F.2d 730 (9th Cir. 1979)	47
<i>Tonelli v. Chase Manhattan Bank, N.A.,</i> 372 N.Y.S.2d 662, 1975 N.Y. App. Div. LEXIS 10673, 49 A.D.2d 731 (N.Y. App. Div. 1st Dept. 1975)	46
<i>TransPacific Freight Conference of Japan v. FMB,</i> 302 F.2d 875 (D.C. Cir. 1962).....	12
<i>United States v. 1988 BMW,</i> 235 F.3d 397 (8th Cir. 2000)	48
<i>United States v. Lang,</i> 898 F.2d 1378 (8th Cir. 1990)	48
<i>Village of Oakwood v. State Bank & Trust Co.,</i> 539 F.3d 373 (6th Cir. 2008)	41
<i>Vinmar, Inc. v. COSCO,</i> 26 S.R.R. 130 (ALJ) affirmed 26 S.R.R. 420 (FMC 1992).....	35
<i>Washington v. Allstate Ins. Co.,</i> 901 F.2d 1281 (6th Cir. 1990)	42
<i>Williams v. Life Savings and Loan,</i> 802 F.2d 1200 (10th Cir. 1986)	12

<i>Wong v. Muddy Pig, Inc.</i> , 2015 U.S. Dist. LEXIS 5301 (D. Minn. 2015)	46
<i>Worldwide Relocations, Inc.</i> , 32 S.R.R. 495 (FMC 2012).....	31
<i>Zima Corp. v. M.V. Roman Pazinski</i> , 493 F. Supp. 268 (S.D.N.Y. 1980)	31
FEDERAL STATUTES	
46 U.S.C. 40102(6)	31
46 U.S.C. 40102(18)	31
46 U.S.C. 40102(c)	10
46 U.S.C. 41102(c)	13
49 U.S.C. 80101(1)	25
49 U.S.C. 80103.....	32
RULES	
Rule 12(b)(1).....	12, 13
Rule 56(d)	40, 41
Rule 56(e).....	42
Rule 56(f)	41, 45
Rule 227(a)(1)	3
REGULATIONS	
15 C.F.R. 30	26
15 C.F.R. 30.3(e)(2)	28
46 C.F.R. 515.4(c).....	29
46 C.F.R. 520.2	24, 25, 39
78 <i>Fed. Reg.</i> 16366 (March 14, 2013).....	24

OTHER AUTHORITIES

F. Marryat “Japhet in Search of a Father” pt. 1, Chapter IV (1836).....	43
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INTRODUCTION

Respondents Empire United Lines, Inc. and Michael Hitrinov (collectively “EUL”) hereby reply to Complainants’ Exceptions to the Initial Decision (“ID”) in the above-captioned, consolidated matter.

Even though Complainants filed their complaints before the Federal Maritime Commission, claiming violations of the Shipping Act, 46 U.S.C. 40101 *et seq.*, their Exceptions are almost entirely bereft of any discussion of, or reference to, the Shipping Act, the FMC’s regulations, or the Commission’s rulings. Instead, Complainants devote virtually all of their attention to statutes and regulations other than the Shipping Act (collectively “Export Laws” and “Export Rules”), regarding export programs unrelated to competition in international ocean shipping, and administered by federal agencies other than the Commission (collectively “Export Agencies”). Complainants thus effectively confess that the FMC has subject matter jurisdiction only if it first adjudicates their assertions under other laws, entrusted to the Department of Commerce, U.S. Customs and Border Protection, and the U.S. Census Bureau. This of course the Commission cannot do, especially as those agencies themselves have chosen not to concern themselves about the alleged actions.¹

The Exceptions also illustrate the shifting sands of Complainants’ theories, especially regarding who they are. As elaborated below, Complainants first took the position – in their Complaints and in their Reply to EUL’s Motion for Judgment – that CarCont, Ltd. was the consignee for all four shipments. Complainants based their claim to standing on one thing, and one thing only – their alleged (but disputed) “ownership” of certain cars in the containers that EUL transported. On June 29, 2016, however, the Presiding Officer issued an Order for Parties

¹ Although Counsel for Complainants apparently asked the Export Agencies to investigate EUL, they have neither done so nor expressed any interest in doing so.

to Supplement the Record [67], which made clear that the FMC’s jurisdiction “ends when the cargo is delivered to the consignee at the place of destination contemplated by the contract of carriage.” Immediately thereafter, Complainants altered their claims and transformed, at least linguistically, into a term heretofore unfamiliar under the Shipping Act – “ultimate consignees.”² In their Exceptions, they effectively abandon “ownership” as a means to standing, and concentrate on their asserted, but incorrect, status under the Export Rules.

Such nomenclatural legerdemain notwithstanding, the singular fact remains that after several years, multiple briefs, and many forests of paper, as well as access to all documents produced in the EDNY litigation, described below, regarding the same cars³ or here, Complainants still have ***not identified even a single document*** linking them to the transportation of the vehicles. As demonstrated below, and confirmed by the ID no bill of lading bears any of their names. Not a single Dock Receipt shows any Complainant. And no Automatic Export System (“AES”) filing identifies any of them. Rather, every document of relevance demonstrates that the consignee of the cargo – “ultimate” or otherwise – was, for each and every one of the four shipments, CarCont (acting as agent for Global). And although Complainants have wisely discarded their irrelevant claims based on ownership, such claims are in any event belied by the vehicle titles – all of which identify Effect Auto as the owner.

The Commission could, and should, stop here and simply adopt the ID. We go on, however, to demonstrate: (I) that the Presiding Officer correctly decided the matter pursuant to

² Complainants’ 7/26/16 Response [79b] at 4. Complainants continued to maintain that CarCont was MSC’s consignee. *Id.*

³ Complainants’ access to the approximately 20,000 pages of discovery produced in the EDNY is confirmed not only by the fact that Complainants’ Counsel was Global’s lawyer therein, but more importantly, by Complainants’ submission herein of reams of such discovery, easily identified to that proceeding by their Bates Numbers. This includes, as described in the Ethical Exceptions herein, documents improperly submitted because they remain subject to a Protective Order issued by the EDNY.

the Shipping Act, the Commission's precedents thereunder, and the record compiled before the Presiding Officer, and (II) that Complainants' various cavils are improperly raised and in any event incorrect. Along the way, we will correct some, but by no means all,⁴ of Complainants' mistakes of fact⁵ and law,⁶ as well as their marked tendency to use the term "undisputed" with respect to claims that are very much in dispute and/or demonstrably incorrect.⁷

⁴ We will not bother, for example, with obvious but trivial errors such as the assertion on page 1 of the Exceptions that Mr. Kapustin was the owner of G-Auto Sales, Inc., even though Complainants should know that G-Auto Sales, Inc. was owned by Michael Goloverya. See, e.g., Compl. 7/26/16 Resp. to Order to Supp. **[79b]** App. B at 4.

⁵ Complainants' Exceptions are largely devoid of references to the record, in contravention of FMC Rule 227(a)(1). And in many cases there is no record support.

⁶ Complainants attempt, for example, to poison the well by asserting that EUL committed "prior violations of the Shipping Act," Docket 02-11, however, did not result in any finding of violation by EUL. Rather, EUL settled with the FMC's Bureau of Enforcement ("BOE") pursuant to an agreement in which no violations were found or admitted. Moreover, BOE specifically acknowledged that EUL had "terminated the practices which led to this proceeding and has instituted measures to prevent the reoccurrence of such practices in the future." [Approval of Settlement, October 31, 2002.]

In accordance with the Initial Order, we also add for the benefit of the Commission LEXIS cites to cases cited by Complainants only to Westlaw, which the Initial Order says is not available to the Commission.

⁷ By our count, Complainants use "undisputed" or "undisputable" seven times in their Exceptions. We correct two of them below at p. 53. And we demonstrate at length (see II. A. below) that their "undisputable" claim regarding violations of the Export Rules is not only very much disputed, but also very much wrong. Complainants' other "undisputed" assertions are too trivial to warrant correction.

CITATION CONVENTIONS AND GLOSSARY OF TERMS

Throughout this Reply, we use certain conventions for citation to Complainants' Exceptions, to the Initial Decision and its Findings of Fact, and to the Record:

Complainants' Exceptions

Text: Exc. at _____
Appendices: Exc. App. _____

Initial Decision

Generally: ID at _____
Findings of Fact: **FF** _____. [Citations to Findings of Fact incorporate the record items referenced therein]

The Record

In accordance with the FMC Rules, we use citations to the Record, rather than attach materials within and outside the Record, using the following conventions:

Citations to Filing Text: Abbreviated Title (e.g., Reply to ____) **[XX]** at _____, where XX is the number of the filing in the Commission's online docket.⁸

Appendices to filings: Abbreviated Title (e.g., Reply to ____) **[XX]** App. _____.

Affirmation of Mr. Hitrinov in Support of Motion for Judgment on the Pleadings []:
Hitrinov Aff. at _____ [paragraph numbers.] or Hitrinov Aff. App. _____.

Affirmation of Mr. Kapustin []: Kapustin Aff. at _____ [paragraph numbers.] or
Kapustin Aff. App. _____.

Glossary

As used herein, the following terms have the meaning specified below.

"Global" -- Mr. Kapustin, entities he controlled, and various individuals found by the New Jersey federal District Court to constitute an enterprise for purposes of RICO.

⁸ Note: There are two numbers 79. We refer to the first (Respondents' submission) as 79a, and the second (Complainants' submission) as 79b.

CORRECTED STATEMENT OF FACTS AND PROCEDURAL HISTORY

Because Complainants' account of the facts/history contains a significant number of errors of varying types, EUL does not attempt to correct them all here.⁹ Instead, EUL provides a simple and unadorned counter-statement of the relevant facts and procedural history.

The genesis of this proceeding lies in the racketeering activities of a swindler named Mr. Sergey Kapustin, along with other individuals, and companies he directly or indirectly controlled. These entities, along with other companies and individuals not relevant here, have been found by a federal court to collectively constitute an enterprise for purposes of RICO. See **FF 5**. The main corporate entities include Global Auto, Inc., G Auto Sales, Inc., Effect Auto Sales, Inc., and Global Cargo Oy (in Finland). See ID at 9; **FF 4**.¹⁰

Global sold cars to persons in Russia and other countries within the former Soviet Union. See **FF.5**. In the process, it engaged in multiple forms of fraud, such as selling cars it did not own, selling the same car multiple times to different "buyers" and using other "bait and switch" tactics. See ID at 15-18.¹¹ And as described further below, Global swindled both Complainants and EUL.

⁹ As just one example, Complainants sometimes refer to CarCont as a Respondent. It is not, and never has been. There is no evidence that CarCont was ever served with the Complaints, much less served in accordance with the Hague Convention, and CarCont was dismissed from the proceeding on that basis. ID at 8, 73. In any event, CarCont (which may no longer be in operation) was not an entity within the jurisdiction of the FMC.

¹⁰ As stated in the Glossary, we will in this Reply use the term "Global" to refer to these companies and individuals collectively. Where the identity of a specific company is relevant, however, we identify it by name. Complainants try to fudge the issue, and disguise some of the significant problems with their arguments, by using "Global" both to describe the entities collectively and as a specific reference to G-Auto. G-Auto and Global Auto, however, are two distinct companies.

¹¹ Indeed, as demonstrated before the Presiding Officer, the very cars at issue here were also "sold" to other "buyers." Resp. 9/26/16 Reply on Motion for Judgment **[79a]** Attach. A-D.

Global used Respondent EUL, an NVOCC licensed by the FMC, to transport vehicles to Finland.¹² Although, as explained in note 12, EUL was not acting as an NVOCC for the shipments at issue, we here describe the transportation process for the vehicles on the assumption, for argument only, that EUL acted in its capacity as a licensed NVOCC.

Global from time to time brought cars for shipment to EUL's facility in New Jersey. ID at 61. EUL put the vehicles in containers, typically with other cars being shipped by Global. An independent trucking company transported the containers to the Port of New York, where they were loaded onto ocean vessels operated by MSC and transported to Kotka, Finland.¹³

Once at Kotka, the containers were picked up at the port by CarCont (Global's choice as the consignee on every bill of lading **FF 51**) and transported by CarCont to its warehouse facility in Kotka, where the containers were emptied. Cars shipped by Global were in every case picked up at CarCont (after a proper release) by a Global affiliate called Global Cargo Oy. ID at 5; **FF 79**. Nobody else ever came for the vehicles and they were released by CarCont to nobody else. See Hitrinov App. 19. EUL assumed, but did not know, that Global then sold the cars, or if pre-

¹² As explained in the ID (at 10, 31, 49), EUL takes the position that, because it had a 60 percent equity interest in each of the four cars, it acted as a beneficial owner/shipper of the vehicles at issue, rather than as an NVOCC, and so jurisdiction fails for that reason. Contrary to the repeated misstatements of Complainants, the Presiding Officer **did not** reject this position. Rather, he found that the facts as to that issue remained subject to dispute, and so **assumed for purposes of argument** Complainants' position that EUL acted as an NVO. [ID at 49-53.] EUL will likewise assume for purposes of this appeal that it acted as an NVOCC with respect to the shipments at bar, **but this remains an open issue**.

¹³ See **FF 9**. The freight charges for the ocean transportation were paid to EUL by Global. ID at 4. Other charges relating to the cars, such as port charges and storage in Kotka, were also normally paid by Global, and, according to Global, separately billed to its vehicle customers. Hitrinov Aff. 17; Kapustin Aff. 34-35. As to these four cars, however, no such charges were ever paid.

sold made them available to the buyers at Global Cargo Oy. Respondents had no idea, however, how that was done, or who the customers were for specific cars. See *Hitrinov Aff.* 20.¹⁴

Because Complainants place such emphasis on documentation, we briefly describe how paperwork actually flowed for shipments by Global. By agreement between Global and EUL, transportation was governed by the MSC bill of lading, and Global specifically asked that EUL not issue a separate bill.¹⁵ EUL did provide Global with a Dock Receipt/Bill of Lading, which set forth a draft of Global's instructions regarding the shipment. ID at 55.

When the independent trucking company delivered a container to the port, the trucker would receive the date-stamped dock receipt, which it would then deliver to CBP, along with the original title.¹⁶ The trucker would then return a copy of the title to EUL.¹⁷ To the extent that stamped copies of the titles may have been returned to EUL by CBP, such titles would have been substantively identical to the submitted titles, so EUL did not retain them, which it understood to be consistent with both regulatory requirements and general industry practice.

Among the cars transported by EUL Global was a select group of vehicles known as the "Investment Vehicles." Simply put, EUL provided funds to Global so it could purchase vehicles,

¹⁴ This is no different than a carrier that transports vehicles – say BMW cars from Europe to a United States dealership. The carrier generally has no interest in, or knowledge of, the customers who may ultimately receive the cars, whether sold by the dealership after the transportation or pre-sold by BMW. The customer is BMW, and the cars will be delivered wherever, and to whomever, is designated in the contract of affreightment.

¹⁵ FF 51; *Kapustin Aff.* 23.

¹⁶ The "date-stamped" dock receipt is no different than the dock receipts EUL produced, except with a date stamp affixed by the terminal – in this case Port Newark Container Terminal – showing the date that the cargo was received. The function of the stamp is merely to show CBP that the vehicle is on the pier, and there is no dispute that this was so for each of the four cars.

¹⁷ We are, quite frankly, puzzled as to why Complainants bring up lien releases for the first time on Exceptions, when they made nothing of them before the Presiding Officer. No vehicles were subject to liens at the time of transport; they were all owned by Effect Auto, as shown by the Titles. In any event, lien releases are not only imaginary, but also irrelevant, as they would never reflect anything about consignees and would show only the title-holder, Effect Auto.

which if accepted by EUL would become Investment Vehicles. **See FF 13.** These vehicles, including the four at issue here, were physically transported in the same manner as the hundreds of other vehicles. As Complainants themselves assert, as they did in their Complaints, the cars were transported on a “warehouse to warehouse” basis from the U.S. to Finland. Exc. at 1.¹⁸

The only difference between Investment Vehicles and other vehicles was in the financial arrangement between EUL and Global.¹⁹ Investment Vehicles were not allowed to be pre-sold by Global, but could be sold only after they reached Kotka. **FF. 10.** And Global Cargo Oy was not allowed to pick-up a vehicle at Kotka until Global had: (i) requested that the car be released by CarCont, and (ii) compensated EUL for that vehicle (either by re-paying EUL the appropriate portion of the funds fronted by EUL or by delivering a replacement Investment Vehicle). E.g., ID at 5, **FF 67, 71, 79.**

Perhaps unsurprisingly in light of what was later learned about Mr. Kapustin and affiliated entities, Global started skipping out on its financial obligations to EUL, including as to the cars at issue. After multiple attempts to obtain payment from Global proved fruitless, EUL liquidated some of its collateral,²⁰ including three of the four cars at issue here.²¹

¹⁸ Verified Complaint **[1]** at para. 26-27. Later in the Exceptions, Complainants contradict themselves by asserting that the transportation was “point-to-point,” without taking any Exception to the contrary conclusion of the ID that EUL’s common carrier obligation ended when the vehicles were delivered to CarCont. ID at 61.

¹⁹ The other difference, not relevant for purposes of Exceptions, is that EUL obtained a 60 percent financial interest in each Investment Vehicle, **[FF. 10]**, and so should be deemed the cargo owner/shipper for such shipments, rather than an NVOCC. As previously explained, and contrary to the multiple misrepresentations of Complainants, the Presiding Officer did not determine that EUL “acted in the capacity of NVOCC, but rather, **assumed** for purposes of the motion that EUL acted as an NVOCC, as EUL does here. See n. 12, above.

²⁰ Complainants mischaracterize this liquidation as the exercise of a maritime lien by EUL. Exc. at 2. While totally irrelevant to jurisdiction, this is wholly incorrect, and simply another example of Complainants making up “facts.”

As the Commission is well aware,²² the attorney for Global when it defrauded both EUL and numerous customers is now Counsel for some of the customers Global defrauded during his tenure – i.e., Complainants.

In the aftermath of these events, Global filed suit against EUL in the Eastern District of New York.²³ EUL countersued. Global’s complaint against EUL was dismissed, ID at 13,²⁴ and a default against Global was granted to EUL on its counterclaims, ID at 14, but is not yet reduced to judgment.

A group of defrauded customers, excluding Complainants, then filed suit against Global, under RICO and other statutes, in the U.S. District Court for the District of New Jersey.²⁵ The New Jersey plaintiffs obtained a judgment against Global in the amount of approximately \$2.3 million, but were unable to collect due to actions taken by Global, including the hiding of assets and sham bankruptcies. The plaintiffs thereafter settled their complaint against Global in return for an assignment of Global’s purported claims against EUL. See ID at 14-19.

²¹ The fourth car – the 2011 Jeep Compass claimed by Complainant Rzaeva – was not sold by EUL. It remained at CarCont for a considerable time, and EUL believes was eventually sold by CarCont to recover some of the storage charges attributable to the vehicle. Hitrinov App. 26.

²² The Commission is fully familiar with Counsel for Complainants, both from the Ethical Exceptions herein and from his activities in other cases before the Commission. EUL will not say more about him here, but suggests that the Commission review Mr. Kapustin’s Affirmation, attached to 8/3/16 Motion to Supplement **[83]**, regarding his relationship with Complainants’ Counsel and such Counsel’s actions thereunder.

²³ Complainants’ assertion that the complaint alleged allegations of RICO is incorrect. Any such claims were eliminated by the First Amended Complaint.

²⁴ Complainants thus shade the facts when they assert that “there **are** claims” against EUL in which it “**is**” alleged that certain things transpired. All claims and any allegations by plaintiffs in that docket were resolved against Global years ago. See ID at 4 (“[t]he New York case is no longer being actively litigated”).

²⁵ ID at 4. Although Complainants are not plaintiffs in the New Jersey proceeding, the complaint there seeks damages for the value of all of the cars, **including the four vehicles claimed by Complainants**, so that success in that litigation would foreclose or reduce any recovery by Complainants in this proceeding.

For whatever reasons, perhaps owing to the ethical inability of Complainants' Counsel to sue his former clients, ID at 14, n.9, Complainants chose a different path.²⁶ Even though Complainants were not named on any shipping documents, they filed two complaints with the FMC, later consolidated, asserting that Empire violated the Shipping Act in carrying out its transportation contracts with Global,²⁷ for which they requested reparations.

The Complaint was never served on EUL, and a preliminary Notice of Default and Order to Show Cause [9] issued in Respondents' absence was discharged and denied. 5/24/16 Order of Discharge [44]. Respondents thereupon filed their Answer [41].

On April 27, 2016, the Presiding Officer ordered that initial discovery be made in the form of "shipping documents" relating to the transactions. Order to File Shipping Documents [17]. Both sides provided such documents, many of which duplicated each other – including each and every MSC bill of lading and each and every Dock Receipt (see Table below).²⁸ In addition to these documents, Complainants had available, and made liberal use of, documents produced in the EDNY litigation (see n. 3), as well as documents apparently obtained from Global's files.

²⁶ See, however, the Ethical Exceptions pending before the Commission regarding the unusually cozy relationship between counsels for obviously adverse claimants of the four vehicles.

²⁷ In addition to claims under 46 U.S.C. 40102(c), Complainants' also alleged a potpourri of claims under other sections of the Shipping Act, none of which could possibly be asserted on the facts (e.g., claims applicable only to controlled carriers or MTOs). These frivolous claims were not defended by Complainants below and were dismissed by the Presiding Officer for failure to state a claim, a holding to which Complainants do not except.

²⁸ One area in which the documents were both substantively alike yet conspicuously different was accounting between EUL and Global. As described in the pending Ethical Exceptions, the simple notations sent as invoices (or statements) by EUL to Global were fraudulently transformed into more elaborate documents, including addition of Mr. Hitrinov's personal banking information. We do not know why the documents were so altered, but suppose it was part of a scheme to divert customer blame from Global to EUL. See Kapustin Aff. 37-38.

On June 10, 2016, Respondents filed a Motion for Judgment on the Pleadings [49], based on lack of subject matter jurisdiction (including standing) and failure to state a claim. This motion was accompanied by supporting documentation, including the Affirmation of Mr. Hitrinov [48]. Complainants responded in due course [60], including by filing 106 pages of attachments. Nowhere in Complainants' response did they suggest that they were unable to respond, or to respond adequately, due to any need for further discovery.

The Presiding Officer later ordered the Parties to Further Supplement the record by: (i) answering nine questions relating to jurisdiction and (ii) attaching relevant documentation. 6/29/16 Order to Supplement [67]. He also gave each side the opportunity to respond to the other's submission. Again, Complainants failed to suggest in either their initial response or their reply, that they needed any further discovery.

On March 9, 2017, the Presiding Officer issued the ID, granting Respondents' motion and dismissing the Complainants. Complainants' Exceptions ensued, in which they challenge the Presiding Officer's jurisdictional determination -- on grounds different than those they relied upon below -- but not his ruling on their failure to state a claim.²⁹

ARGUMENT

We divide our Reply into two main portions. First, we show why the result reached in the ID is compelled by FMC precedent, by the record, and by common sense. Second, we respond to Complainants' newly-contrived Exceptions to that result, demonstrating that the dust Complainants seek to cast cannot obscure the light shone by the ID on their claims.

²⁹ In going through the Appendices to the Exceptions, we were rather surprised to see the substantial amount of highlighting and other marks added by Complainants. The undersigned has always been taught that such practice is highly unprofessional, especially when not prominently disclosed.

I. THE PRESIDING OFFICER CORRECTLY APPLIED FMC PRECEDENTS

A. Legal Standards.

As the ID (at 28-29) recognizes, the FMC is a tribunal of specific and limited jurisdiction. It is not a roving commission to address all ills, even if somehow related to jurisdictional entities.³⁰ Accordingly, in order to render a judgment on the merits, the FMC must first establish that it has subject matter jurisdiction over the Complaint,³¹ including standing by Complainants.³² And once subject matter jurisdiction is questioned, Complainants have the burden of proof to demonstrate that jurisdiction exists. *DNB Exports LLC v. Barsan Global Lojistik Ve Gumruk Musavirligi A.S.*, 32 S.R.R 550, 553; (ALJ, Admin. Fin. 2011); *Kokkonen v. Guardian Life Ins. Co.* 511 U.S. 375, 377 (1994); *Chandler v. State Farm Mutual Auto Insurance Co.*, 598 F.3d 1115, 1122 (9th Cir. 2010).

A challenge to subject matter jurisdiction implicates the standards set forth in Rule 12 (b)(1) of the Federal Rules of Civil Procedure, and thus may be either facial – based on the allegations in the Complaint and attachments – or factual – based on additional

³⁰ See, e.g., *International Ass’n of NVOCCs v. Atlantic Container Line*, 25 S.R.R 734, 743 (FMC 1990) (“The Commission ‘is not a court, and cannot rely . . . on the powers of court of equity. On the contrary, the law is settled that an administrative agency may exercise only those powers conferred upon it by Congress.’”) (quoting in part from *TransPacific Freight Conference of Japan v. FMB*, 302 F.2d 875, 880 (D.C. Cir. 1962) (ellipses in original); *Sea-Land Dominica, S.A. v. Sea-Land Service, Inc.*, 26 S.R.R 578 (FMC 1992).

³¹ “[S]ubject matter jurisdiction, because it involves a court’s power to hear a case, can never be forfeited or waived.” *Arbaugh v. Y & H Corp.*, 546 U.S. 500, 514 (2006) (internal citations omitted). Indeed, “[i]t is well settled that a federal court must dismiss a case for lack of subject matter jurisdiction even should the parties fail to raise the issue. *Mansfield, Coldwater & Lake Michigan Ry. v. Swan*, 111 U.S. 379, 382 (1884); *Williams v. Life Savings and Loan*, 802 F.2d 1200, 1202 (10th Cir. 1986).

³² EUL phrased its attack in terms of subject matter jurisdiction, because that is what the Commission found lacking in the various cases cited to the Presiding Officer and in this Reply. The ID refers to it in terms of standing. As standing is merely one element of subject matter jurisdiction, any differences in terminology are wholly irrelevant.

information submitted by the parties.³³ As identified in the ID (at 5-6), EUL launched a factual attack.

B. Application of Standards.

Although Empire is licensed by the FMC as an NVOCC, and is thus one of the limited categories of entities within the *personal* jurisdiction of the Commission, this does not mean that the FMC has subject matter jurisdiction over every claim by every entity against EUL, even if clothed in the language of a Shipping Act violation. As the Commission has explained, it is not only the nature of the claim that matters, but also who is asserting the claim; and strangers to a regulated transaction are not within the scope of the FMC’s subject matter jurisdiction.

In *Sea-Land Dominica, S.A. v. Sea-Land Service, Inc.*, 26 S.R.R 578 (FMC 1992), for example, the Commission held that it did not have subject matter jurisdiction over a complaint, similar to those at bar, likewise asserting violations of 46 U.S.C. 41102(c) against a regulated common carrier, because the complainant was not itself a shipper:

“There is nothing in the specific language, structure, or legislative history of the 1984 Act which shows an intention to subject the dispute between Complainants and Sea-Land to our jurisdiction. The “any” person language in Section 11 of the 1984 Act relates only to who may bring an action. It is procedural in nature and does not give the Commission any jurisdiction over a particular subject matter. Such jurisdiction must be found in the substantive provisions of that statute.” *Id.* at 581 (footnote omitted).

³³ As the Commission has identified and the ID (at 5-6) recognizes:

“With regard to motions to dismiss a complaint for lack of subject matter jurisdiction under Rule 12(b)(1), such motions may assert either a factual attack or a facial attack to jurisdiction. . . . A factual attack challenges ‘the existence of subject matter jurisdiction in fact, irrespective of pleadings, and matters outside the pleadings, such as testimony and affidavits, are considered. *Edaf Antilles, Inc. v. Crowley Caribbean Logistics LLC*, 33 S.R.R 710, 716 (ALJ, Admin Fin. 2014) (emphasis added).

In dismissing the complaint against Sea-Land, the Commission relied in part on a similar holding under the Interstate Commerce Act (on which the Shipping Act was based) that claims against carriers for discrimination could be brought only by “shippers or those who act as shippers in particular transactions.” *Id.* at 582 (citing ICC opinions).

The Commission’s holding in *Sea-Land Dominica* is consistent with past precedent. In *Cargill v. Waterman SS Corp.*, 21 S.R.R 287 (FMC 1981), for example, the Commission stated:

“Although Cargill is a “person” and therefore included in the literal language of Section 16 First, the Presiding Officer recognized that the statute was not intended to subject ocean carriers to liability for all economic injuries factually connected to their ratemaking practices. Liability must end at some sensible, reasonably foreseeable point. In cases arising under former Section 3 of the Interstate Commerce Act, only persons which otherwise deal directly with common carriers in their capacity as such have been entitled to protection.” *Id.* at 300 (citations omitted).³⁴

Most recently, in *Pro Transport, Inc. v. Seaboard Marine of Florida, Inc.*, Docket No. 16-12 (Initial Decision April 26, 2017, Admin Final), the Commission found that it lacked subject matter jurisdiction over a complaint against an ocean carrier by a trucker who actually took part in the transportation. To like effect, see, e.g., *American Union Transport v. Italian Line*, 2 USMC 553, 556-57 (1941); *Singer v. Trans-Atlantic Passenger Conference*, 1 USSB 520 (1936).

As the ID recognizes, Complainants neither alleged nor demonstrated that they had any relationship at all with EUL, much less the type of shipper-carrier relationship necessary to support jurisdiction over a claim that EUL filed to fulfill its carrier obligations. And as the ID also recognizes (at 29), a carrier’s delivery obligation, and thus its common carrier function, ends once the cargo is made available to the named consignee. See *Kobel v. Hapag-Lloyd A.G.*, 32

³⁴Although the Commission there found complainant within the protection of the Act, it did so only because complainant was the functional equivalent of a shipper under the “unusual, and possibly unique grain purchasing system” being employed. *Id.* at 300-01. No such functional equivalence is present here.

S.R.R. 512, 532 (Init. Dec. 2012) (no violation for misdelivery as Hapag-Lloyd completed its delivery by making cargo available to named consignee), *affirmed in pertinent part*, 32 S.R.R. 1720 (FMC 2013).

The result reached by the ID is not only required by the FMC's own precedents, it is also mandated by the record. As the Presiding Officer properly identified, there was nothing in the record showing that Complainants had any relationship to the transportation function, as opposed to the commercial transaction between Complainants and Global. Rather, both Mr. Kapustin and the owner of the cars – Effect Auto – specifically instructed EUL to deliver all vehicles, including Investment Vehicles, to CarCont as Effect's agent. **FF 51**; Kapustin Aff. 27-29.

This conclusion, as the Presiding Officer explained, is dictated by the documentation for each shipment. Thus, the contracts of affreightment – the MSC bill of lading and EUL Dock Receipt/Bill of Lading – referred not at all to any Complainant. And the consignee identified in each was CarCont and only CarCont.³⁵

Complainants' bizarre and unsupported claim (Exc. at 10, 14) that the Presiding Officer relied on false representations and falsified documents provided by EUL is wholly contravened by the shipping documents produced by Complainants *themselves*. As shown in Table 1, below, the contracts of affreightment produced by Complainants were *identical* to those produced by EUL in identifying the parties thereto.

The Presiding Officer went on to canvass other documents put forth as relevant by Complainants. What he found was that they were all consistent with the contracts of

³⁵ ID, at 62; **FF** 89, 91, 102, 104, 114, 117, 127, 129. Complainants repeatedly suggest that they should be given special treatment because they were "unsophisticated." (Exc. at 21, 45). They offer no support for creating an "unsophisticated" exception to the rules of subject matter jurisdiction, and even the most unsophisticated person should be able to identify whether or not his or her own name is listed on a document.

affreightment. Thus, the AES documents filed with CBP identified CarCont as the ultimate consignee, with no mention of any Complainant. ID. at 62; **FF** 93, 106, 119, 131. And the original titles for the vehicles uniformly identified the owner of the vehicle as Effect Auto. Finally, the “invoices” from EUL to Global submitted both by EUL (original) and by Complainants (doctored) failed to identify any of the Complainants.

In Table 1, below, we show in one place by individual car what was found on each document, using the very documents submitted by Complainants wherever they submitted them:

TABLE 1

Car Name	2010 GMC Acadia	2011 Jeep Compass	2009 Mercedes-Benz C300	Toyota Camry
VIN Number	GKLVNED6AJ138200	1J4NF5FB7BD282296	WDDGF81X49R073295	4T1BE46K19U306703
Complainant Involved	Ovchinnikov	Rzaeva	Nekipelov	Nurgazinov
Shipper on Dock Receipt	Empire United Lines	Empire United Lines	Empire United Lines	Empire United Lines
Shipper on MSC Bill of Lading	Empire United Lines	Empire United Lines	Empire United Lines	Empire United Lines
USPPI on AES	Global Auto Inc.	Global Auto Inc.	Global Auto Inc.	Global Auto Inc.
Consignee on Dock Receipt	CARCONT LTD	CARCONT LTD	CARCONT LTD	CARCONT LTD
Consignee on MSC Bill of Lading	CARCONT LTD	CARCONT LTD	CARCONT LTD	CARCONT LTD
Consignee on AES	CARCONT LTD	CARCONT LTD	CARCONT LTD	CARCONT LTD
Notify Party on Dock Receipt	[blank]	[blank]	[blank]	[blank]
Notify Party on MSC Bill of Lading	CARCONT LTD	CARCONT LTD	CARCONT LTD	CARCONT LTD
Ocean Freight Forwarder/ Forwarding Agent on MSC Bill of Lading	[blank]	[blank]	[blank]	[blank]
Ocean Freight Forwarder/ Forwarding Agent on Dock Receipt	[blank]	[blank]	[blank]	[blank]

Note on Sources: Wherever available, the information on this Table was taken directly from the Shipping Documents submitted **by Complainants** (although EUL's Shipping Documents were identical). Information not available from Complainants' Shipping Documents (AES Forms) was sourced directly to EUL's Shipping Documents.

Complainants chastise the Presiding Officer for overlooking other documents they submitted – such as “wire transfers, proof of payment, and receipt of a copy of the title and bill of lading from Kapustin” – which they claim show that they were “lawful owners” of the vehicles. Exc. at 17. As shown in Table 1, the dock receipts and bills of lading ***produced by Complainants themselves*** actually support the ID, as they contain absolutely no reference to Complainants, just like the titles, all of which show Effect Auto, not Complainants, as the legal titleholder. As to the purported “wire transfers” and “proof[s] of payment,” Complainants conveniently forget that they have abandoned their former reliance on “ownership” in favor of status under the Export Laws, and most importantly, that subject matter jurisdiction under the Shipping Act, unlike COGSA, is based not on ownership, but on status under the contract of affreightment.³⁶ Further, they neglect to mention the many factual problems with their purported claims to ownership. See pp. 19-20, below.

The ID is compelled not only by FMC precedent, but also by common sense. The Shipping Act requires a carrier to deliver cargo to the person, and with the presentation of documents, required by the contract of affreightment. *Bimsha International v. Chief Cargo Services, Inc.*, 32 S.R.R 353 (Init. Dec. 2011), affirmed 32 S.R.R 1861 (FMC 2013) (carrier violated Section 10(d)(1) by delivering cargo under a negotiable bill of lading without presentation of the original bill)’ *Smart Garments v. Worldlink Logix Services, Inc.*, 33 S.R.R. 65, 68 (FMC 2013) (same). For commerce to flow, carriers need to know with certainty to whom they must legally surrender the cargo. Thus, carriers deliver cargo either to the presenter

³⁶ The ID (at 65) explains that ownership of the vehicles is irrelevant in that Global had legitimate reasons for instructing EUL, as it did, not to deliver the vehicles to Complainants, even if they were considered by Global to have been the owners of the vehicles.

of the original bill of lading for a negotiable bill of lading, or to the named consignee for a non-negotiable bill of lading (such as a straight bill of lading or sea waybill).

Complainants would complicate this simple and straightforward scheme by adding a new, undefined, category of those entitled to delivery – entities claiming to bear some indicia of beneficial interest. This would render it impossible for a carrier to know to whom it should deliver the goods and thereby create pure chaos in ocean shipping – both legally and commercially.³⁷

The impossibility of Complainants' complicated scheme is nicely illustrated by the instant matter. Complainants assert that they are the lawful owners of the respective cars. But there is, at the very least, substantial doubt regarding that assertion. First, as the record shows, Global sold the very same cars to at least one other buyer, as evidenced by similar bills of sale.³⁸ Second, Global denies that the charges for the cars were paid in full.³⁹ Third, Complainants all claim to have bought their cars from G Auto Sales, but G Auto did not own any of the cars.

³⁷ As just a small sample: What is a carrier to do when it faces conflicting claims from a purported holder of a possessory interest and either a named consignee or the holder of the original bill of lading? Or what if two parties asserting a possessory interest show up and claim the cargo? How can the carrier deliver cargo to either of them without a prior FMC or a court determination declaring which “consignee” has the legal right to the cargo? What is enough to decide that a putative consignee has a sufficient possessory interest, and when if ever can a possessory interest outweigh rights of the original bill of lading holder or the named consignee? Thus, as the ID explains, adoption of Complainants' position would necessarily embroil the FMC in the resolution of property rights and/or commercial disputes well outside the Commission's subject matter jurisdiction.

³⁸ Resp. 9/26/16 Reply on Motion for Judgment **[79a]** Attach. A-D.

³⁹ See Kapustin Aff. 31 (“each Complainant still owes money [for the vehicle] to Global Auto Group”). Further, Complainants still owe Global for the transportation charges that Global paid to EUL and third parties. Kapustin Aff. at 34-36 & App. 11, 12, 20. Thus, there is no basis for Complainants' assertion (Exc. at 7) that they “paid G-Auto Sales for . . . the transportation to Finland.”

Instead, the titles show that all were owned by Effect Auto. Finally, there are numerous other discrepancies in the invoices that EUL pointed out to the Presiding Officer.⁴⁰

In sum, Complainants were not parties to the transportation agreement. Rather, they were simply strangers to the shipping arrangement who allegedly purchased goods from Global. Thus, if anyone would have a conceivable Shipping Act claim against EUL it is *its* customer – Global.⁴¹ And if Complainants have any type of claim against anyone, it is against Global, which failed to deliver the goods.

II. COMPLAINANTS' CAVILS ARE IMPROPERLY RAISED AND MERITLESS

Complainants have raised a variety of quibbles to the ID. All are improperly raised for the first time on Exceptions and/or supported by impermissible attempts to supplement the record on appeal.⁴² And all lack merit.

⁴⁰ Many other discrepancies regarding the claims to ownership are detailed in the Hitrinov Affirmation at paragraphs 37-52. Among other things, Complainants have asserted ownership as to vehicles that Effect Auto did not own and would not own until months after the purported purchase by Complainants, a payment designated as a gift, rather than a purchase, and payments referencing vehicles other than those allegedly purchased.

⁴¹In fact, when Complainants' Counsel represented Global in the EDNY litigation, he originally asserted Shipping Act claims against EUL, only to subsequently abandon those claims in favor of representing Complainants herein.

⁴² It is of course a commonplace in the federal system that appellate courts do not, except in extraordinary circumstances (none of which are present here), consider arguments or evidence not first presented to the trial court. See, e.g., *Morrow v. Greyhound Lines, Inc.*, 541 F.2d 713, 724 (8th Cir. 1976) ("It is old and well-settled law that issues not raised in the trial court cannot be considered by this court as a basis for reversal"); *Booking v. General Star Management Co.*, 254 F.3d 414, 418 (2nd Cir. 2001) ("In general, 'a federal appellate court does not consider an issue not passed upon below'"); *Hernandez-Hernandez v. U.S.*, 904 F.2d 758, 763 (1st Cir. 1990) (court's rule is not to consider claims raised for the first time on appeal absent gross miscarriage of justice); *Anglin v. Social Sec. Admin.* 602 Fed. Appx. 483, 484 (11th Cir. 2015) (court "will not address an argument that has not been raised in the district court"); *Lyons-Timmons v. Barnhart*, 147 Fed. Appx. 313, 315 (3d Cir. 2005) ("We need not address this contention because it was not raised below"). To like effect see *Carrier International Corp. v. Waterman SS.*, 23 S.R.R. 689, 694 (FMC 1985).

A. Complainants' Claim to be "Ultimate Consignees" Is Wrong.

Although positioned toward the rear of Complainants' Exceptions, perhaps reflecting its perceived lack of merit, almost half of Complainants' screed is occupied by the argument that they are "ultimate consignees" under the Export Laws that the FMC does not administer, and so should have been known by EUL to be persons to whom EUL had a duty of delivery. They further argue that EUL had actual knowledge of Complainants, and so should have assumed them to be entities to which delivery was required.

We demonstrate below that Complainants are wrong on all counts. First, the Commission does not have jurisdiction or authority to interpret or apply the Export Laws. Second, even if the FMC did have such authority, it could not amend the Shipping Act by replacing Shipping Act terms with similar-sounding but very different terms found in the Export Laws. Third, Complainants' arguments under the Export Rules are legally and factually incorrect. Finally, the record shows overwhelmingly that EUL had absolutely no knowledge of Complainants at the time of any of these shipments.

Before getting to the merits, however, it is worth a brief detour to explore the changing nature of Complainants' self-descriptions. In their Complaints, Complainants made no pretense of being any sort of consignee – ultimate or otherwise. Quite to the contrary, they acknowledged that CarCont was the consignee for all shipments. See, e.g., Verified Complaint **[1]** at para. 26-27. With regard to themselves, Complainants asserted that they had purchased cars from the shipper party to the contract of affreightment, but alleged no involvement in the documentation or execution of the transportation arrangement itself. Likewise, in responding to the Motion for Judgment, Complainants admitted that they "were not identified as shippers of record" on the various shipping Documents. Response **[60]** at 2. Rather, they claimed: "Complainants were

the Owners of the Cargo Shipped by Respondents,” id. p. 6 (heading), which they argued created standing and subject matter jurisdiction.

The transformation of Complainants into “ultimate consignees” did not occur until well after the briefing on the Motion for Judgment, when it appeared in Complainants’ response to the Presiding Officer’s Order to Supplement the Record [79b]. There, Complainants asserted for the first time that they were the “consignees,” based on their purported purchase of the vehicles. In support thereof, they cited the “contract for sale,” stating:

“The contracts of sale for the automobiles between G -Auto Sales, Inc. as seller and each of the Complainants as buyer, referenced above. By virtue of the contracts of sale, the buyers/ complainants were the *ultimate consignees* for the automobiles” [79b] at 4 (emphasis added).

Complainants double down on that charade here, improperly adding arguments and regulatory material not presented to the Presiding Officer.

1. The Commission May Not Interpret/Apply the Export Rules.

Complainants ask the Commission to grant them standing to collect reparations under the Shipping Act (as to which they have the burden of proof) on the basis that they are, for purposes other than the Shipping Act, “ultimate consignees” pursuant to the Export Rules. And they do so even though the documents submitted to the Export Agencies designated CarCont, not Complainants, as the ultimate consignee, and the Export Agencies have never challenged, indeed have implicitly endorsed, such designation (despite apparent prompting by Complainants’ Counsel). Apart from being legally incorrect, as shown below, Complainants are simply in the wrong forum, for the FMC has no jurisdiction or authority to interpret, apply, or enforce the Export Rules.

As the Commission has explained, “the law is settled that an administrative agency may exercise only those powers conferred upon it by Congress.” *IANVOCC*, supra, 25 S.R.R. at 743.

In other words, “an administrative agency is not a court of general jurisdiction, but operates under jurisdiction limited by the statute which it administers.” Thus, the Commission “cannot, by [its] own act . . . enlarge . . . [its] statutory jurisdiction. *American Union Transport v. River Plate & Brazil Conferences*, 5 F.M.B. 216, 224 (1957).

Complainants invite this Commission to don the shoes of the Export Agencies and determine what those agencies would do if the matter were before them. This would be a daunting task given the thicket of regulatory guidance Complainants cite and/or attach, much of it never presented to the Presiding Officer, and some of it entirely inapplicable. But usurping the expert Export Agencies is simply not permissible, and the FMC may not expand its jurisdiction so as to encompass interpretation and application of the Export Rules.

In *Definition of Package*, 23 S.R.R. 111, 114 (FMC 1985), for example, the Commission held that it could not interpret provisions of COGSA, because there was nothing “in the statutes we administer which gives us in ‘clear and unmistakable language’ the authority necessary to interpret COGSA.”⁴³ There is likewise nothing in the Shipping Act even remotely, much less in “clear and unmistakable language,” authorizing the Commission to interpret regulations, Pipelines and other regulatory guidance promulgated by the Export Agencies.

2. The Export Rules Do Not Override the Shipping Act.

Even were it within the Commission’s power to interpret and apply the Export Rules, this would not authorize the Commission to amend or modify the Shipping Act. Complainants’ Exceptions argue directly to the contrary -- that terms used by other agencies for other purposes should nevertheless be taken to replace Shipping Act terms. Complainants cite nothing in

⁴³See, e.g., *Petition of the Ass’n of Bi-State Motor Carriers, Inc. to Investigate Truck Detention Practices*, Petition P3-02 at 21 (Order, Feb. 20, 2004) (petition denied because it “provides arguments concerning matters outside the Commission’s jurisdiction, such as pollution”).

support of this effort to amend the Shipping Act, and it is untenable. Below are a few examples of Complainants' persistent error in conflating and confusing seemingly similar terms.⁴⁴

- **Transshipments**. Complainants assert that the Presiding Officer “misclassified” these shipments, which they say should be defined as “transshipments” under the Export Rules. This is a brand new assertion, invented only on Exceptions, after the ID was issued. In the proceedings before the Presiding Officer, by contrast, Complainants expressly averred that these were shipments from New York to the port and point of Kotka, Finland, never uttering the word transshipment. [Complainants’ 7/26/16 and 8/9/16 Responses to Order to Supplement **[79b, 85]**. Moreover, at the time these shipments took place (late 2012 to early 2013), the Export Rules ***did not contain a definition of transshipment.***⁴⁵ But no matter how these shipments may be classified pursuant to the Export Rules, and we do not agree with Complainants on that score, the term “transshipment” already has a definition for purposes of the Shipping Act, which states that “Transshipment means the physical transfer of cargo ***from a vessel of one carrier to a vessel of another*** in the course of all-water or through transportation, where at least one of the exchanging carriers is an ocean common carrier subject to the Commission's jurisdiction.” 46 C.F.R. 520.2. Complainants make no claim that such transshipments took place here.

⁴⁴ These attempts to have the Commission apply terms from the Export Rules, rather than from the Shipping Act and FMC regulations, highlight why it is not permissible for the FMC to poach on the jurisdiction of the Export Agencies.

⁴⁵ The Export Rules did not have a definition of “transshipment” until January 8, 2014. 78 *Fed. Reg.* 16366 (March 14, 2013). As discussed further below, this citation to regulations not in effect is symptomatic of Complainants’ entirely casual approach to the Export Rules.

- **Consignees.** Complainants also seek to import into the Shipping Act other terms peculiar to the Export Rules and their purposes, such as “intermediate consignee” and “ultimate consignee.”⁴⁶ These are not Shipping Act terms, and do not define responsibility under the Shipping Act, pursuant to which a consignee is “the person to whom delivery is to be made” in accordance with the contract of affreightment.⁴⁷ For each of the four cars (and many others), that person was, as the ID finds and Complainants do not dispute, CarCont.⁴⁸

Accordingly, even if Complainants could be deemed “ultimate consignees” for purposes of the Export Rules, they are not consignees within the meaning of the Shipping Act, and so their tort claims for conversion are not within the Commission’s subject matter jurisdiction.

3. Complainants Misrepresent the Export Rules.

Complainants’ interpretation of the Export Rules is, in any event, riddled with errors, and reaches the absolute wrong conclusion.⁴⁹ Properly understood, the Export Rules demonstrate that the AES forms submitted by EUL were fully compliant with all legal requirements, and that the “ultimate consignee” was indeed CarCont, as reported.

⁴⁶ Complainants again cite to a post-shipment version of the regulations.

⁴⁷ To like effect see 49 U.S.C. 80101(1) (“‘consignee’ means the person named in a bill of lading as the person to whom the goods are to be delivered”).

⁴⁸ As discussed below, EUL also disagrees that the individual Complainants were the “ultimate consignees” for purposes of the Export Rules.

⁴⁹ As just one example, Complainants cite items of regulatory guidance known as Pipelines, one of which was not issued until December 2015. The shipments at issue, however, occurred more than two years earlier – in 2012 and early 2013. Complainants make no claim that the 2015 Pipeline has any retroactive effect; nor could they under the demands of due process and the Administrative Procedure Act. Thus, any references to requirements established by the 2015 Pipeline must be disregarded.

The applicable export regulations are the EAR which are administered and enforced by the U.S. Department of Commerce’s Bureau of Industry and Security (“BIS”), and the Foreign Trade Regulations (“FTR”), which are administered and enforced by the Census Bureau.

The export clearance process, including the question of who should be listed in the Electronic Export Information (“EEI”), is governed by the FTR and Section 758 of the EAR. The information that must be entered in the EEI, including the ultimate consignee, is governed by the FTR (see also Section 758.1(i) of the EAR, which states that “[T]he EEI must be filed with the United States Government in the manner prescribed by the Bureau of Census Foreign Trade Regulations (15 C.F.R. Part 30”).

Section 30.6(a)(1) of the FTR defines the “ultimate consignee” as “the person, party, or designee that is located abroad and actually receives the export shipment. The name and address of the ultimate consignee, whether by sale in the United States or abroad or by consignment, shall be reported in the EEI. The ultimate consignee **as known at the time of export** shall be reported. [Emphasis added]”.

The FTR recognizes the following **different types** of ultimate consignees:

- (i) Direct Consumer—a non-government institution, enterprise, or company that will consume or use the exported good as a consumable, for its own internal processes, as an input to the production of another good or as machinery or equipment that is part of a manufacturing process or a provision of services and will not resell or distribute the good.
- (ii) Government Entity—a government-owned or government-controlled agency, institution, enterprise, or company.
- (iii) Reseller—a non-government reseller, retailer, wholesaler, distributor, distribution center or trading company.
- (iv) Other/Unknown—an entity that is not a Direct Consumer, Government Entity or Reseller, as defined above, or whose ultimate consignee type is not known at the time of export.

Section 30.6(a)(28) of the FTR (emphasis added).

None of these consignee types refer to “ownership.” Nor, quite obviously, does the ultimate consignee need to be the end user. As stated above, the FTR expressly recognizes that intermediaries such as a “other/unknown,” non-government reseller, retailer, wholesaler, distributor, distribution center or trading company may be ultimate consignees. Thus, there was no impediment to CarCont being the ultimate consignees, as it: (i) was designated by Global as the entity to receive the cargo, and (ii) did actually receive the shipments at issue⁵⁰

Moreover, the Export Rules state that the “ultimate consignee” to be named in the AES is an entity **known at the time of export**. As EUL demonstrated before the Presiding Officer, and as we elaborate below, EUL entered into the AES the information it was provided by Global -- that CarCont was the ultimate consignee. Further, this specification that the ultimate consignee is the entity “known at the time” also demonstrates that, Complainants assertion to the contrary notwithstanding, EUL was not required to determine or further investigate who the alleged end users were, but rather could rely on what it was told by the USPPI.

Also contrary to the assertion of Complainants, the USPPI for these shipments was plainly Global. Section 30.6(a)(1) of the FTR defines the USPPI as “[t]he person or legal entity in the United States that receives the primary benefit, monetary or otherwise, from the export transaction. Generally, that person or entity is the U.S. seller, manufacturer, or order party, or the foreign entity while in the United States when purchasing or obtaining the goods for export.”

⁵⁰ Even assuming *arguendo* that CarCont were considered not to be the ultimate consignee, the ultimate consignee would not be Complainants. Rather, it would be Global Cargo Oy, which was designated by Global to “receive” the cars from CarCont and which actually and invariably did so for hundreds of other vehicle shipments. However, Global never requested that the four cars at issue here be released to anyone because they were being held as collateral by EUL and Global was unable to repay EUL for the portion of the funds fronted by EUL or to deliver replacement Investment Vehicles. See Kapustin Aff. at 61 and App. 19 to Kapustin Aff.

Global was the seller of the cars and received the primary benefit of the export transaction, namely the purchase price.⁵¹

Global, as the USPPI, was required to provide EUL with accurate and timely export information necessary to file the EEI, including the name of the ultimate consignee and the type of ultimate consignee, which are two mandatory data fields in the EEI pursuant to Section 30.3(c)(1) of the FTR. EUL, when authorized by Global to prepare and file the EEI, was responsible for the “[a]ccurate preparation and timely filing of the EEI ***based on information received from the USPPI*** and other parties involved in the transaction” pursuant to Section 30.3(c)(2) of the FTR [emphasis added]. That is what EUL did.

Finally, the exports here were not “routed export transactions.”⁵² Section 772.1 of the EAR defines a routed transaction as “[a] transaction where the foreign principal party in interest authorizes a U.S. forwarding or other agent to facilitate export of items from the United States.” Here, Global, the U.S. exporter and USPPI, chose and paid EUL.

4. Additional Errors Underlying Complainants’ Argument.

Even apart from their patent misreading of the Export Rules, Complainants’ claim to be ultimate consignees is based on a number of inaccurate assertions, some of which we here correct.

⁵¹ Global was also the USPPI under the EAR. Section 758.3(a) states that the U.S. principal party in interest is the exporter, except in certain routed transactions. Section 772.1 of the EAR defines the term exporter as “[t]he person in the United States who has the authority of a principal party in interest to determine and control the sending of items out of the United States.” Global was the U.S. exporter and thus the USPPI under the EAR. It determined which cars should be exported and to whom. It then chose EUL as NVOCC and told EUL where and to whom the cars should be shipped.

⁵²Only in a “routed export transaction” is the AES filer required to provide the identity of the FPPI. See 15 C.F.R. 30.3(e)(2).

a. EUL Did Not Act as an Ocean Freight Forwarder.

Although the Complaints are premised, both jurisdictionally and substantively, on the allegation that EUL acted as an NVOCC for these shipments, Complainants on Exceptions switch gears and argue that EUL actually acted as an ocean freight forwarder (OFF). Exc. at 35-39.⁵³ That is simply untrue, and Complainants wholly misunderstand the significance of being an OFF.

Complainants argue that EUL was an OFF because it prepared and/or processed export declarations and prepared “dock receipts/bills of lading”, and master bills of lading, delivered the empty container from the port to the loading facility in New Jersey, delivered the loaded container to the port of export, arranged for warehouse storage, provided documents for customs clearance, and handled the payment of ocean freight and other monies.

As an initial matter, even if such activities were considered exclusively OFF services, they may under the FMC’s regulations be performed by an NVOCC pursuant to its NVOCC license. 46 C.F.R. 515.4(c) (common carrier may, without license, provide forwarding services on shipments where it acts as carrier).⁵⁴ In any event, there is nothing exclusive to OFFs about any of these items, and indeed they are perfect examples of what an NVOCC typically does by

⁵³ Complainants refer generically to “freight forwarders, without identifying what kind of freight forwarder they mean. As the Commission well knows, the term “freight forwarder” means different things under different regulatory regimes. Under the ICCTA, for example, it refers to the land equivalent of an NVOCC. *Ex Parte No. 598 (Exemption of Freight Forwarders in the Noncontiguous Domestic Trades)*, 2 STB 48 (STB 1997). For purposes of this Reply, we refer exclusively to “ocean freight forwarders,” the only type of freight forwarder over which the Commission has jurisdiction.

⁵⁴ This regulation was explained below, but blithely ignored by Complainants.

itself.⁵⁵ As the FMC's regulations state, NVOCC services include, but are not limited to, the following (annotated to show what EUL did):

- (1) Purchasing transportation services from a common carrier and offering such services for resale to other persons; ***[EUL purchased services from MSC by service contract, and made them available to Global]***
- (2) Payment of port-to-port or multimodal transportation charges; ***[EUL paid MSC for the port-to-port transportation of the containers]***
- (3) Entering into affreightment agreements with underlying shippers; ***[EUL entered into an affreightment agreement with Global]***
- (4) Issuing bills of lading or other shipping documents; ***[EUL prepared the Dock Receipts as draft instructions for MSC to use to issue its sea waybills/bills of lading and EUL provided the Dock Receipts to Global for review and approval]***
- (5) Assisting with clearing shipments in accordance with U.S. government regulations; ***[EUL arranged for clearance of the vehicles]***
- (6) Arranging for inland transportation and paying for inland freight charges on through transportation movements; ***[Not applicable, as there was no through movement]***
- (7) Paying lawful compensation to ocean freight forwarders; ***[Not applicable, as there was no ocean freight forwarder]***
- (8) Coordinating the movement of shipments between origin or destination and vessel; ***[As asserted by Complainants, EUL coordinated the movement of the container from the loading facility in New Jersey to the port of export in New York⁵⁶]***
- (9) Leasing containers; ***[Not applicable]***
- (10) Entering into arrangements with origin or destination agents; ***[Global had its own agents]***
- (11) Collecting freight monies from shippers and paying common carriers as a shipper on NVOCC's own behalf. ***[EUL collected freight from Global pursuant to the contract of affreightment, and paid MSC on its own behalf pursuant to its service contract with EUL]***

⁵⁵ Indeed, Complainants themselves acknowledge that a shipper “may hire an NVOCC to process the documents and make all the arrangements to facilitate overseas shipments.” Exc. at 34.

⁵⁶ The actual port of loading was Newark or Elizabeth, New Jersey, part of the Port of New York and New Jersey, frequently referred to in shorthand, including in the documents, as the Port of New York.

Complainants' attempt to re-cast EUL's role is also belied by the MSC bills of lading for the four cars. Each shows EUL as the shipper, as befits an NVOCC, while the forwarder box is left blank.

Complainants also misrepresent the significance of designation as an ocean freight forwarder. Being an ocean freight forwarder does not make one "responsible for the point to point shipment of the cars." Exc. at 39. Indeed, just the opposite, as taking responsibility is what distinguishes an NVOCC, from an OFF. Because it is a common carrier, an NVOCC takes responsibility for the shipment, whether point-to-point or, as here, port-to-port.⁵⁷ An OFF, on the other hand, merely arranges transportation, but does not assume responsibility for the shipment. See, e.g., *Worldwide Relocations, Inc.*, 32 S.R.R. 495, 503 (FMC 2012) ("[a]mong ocean transportation intermediaries, only an NVOCC holds "itself out to the general public to provide transportation by water" An Ocean Freight Forwarder (OFF) does not pass this threshold question").⁵⁸

Nor does being an ocean freight forwarder imply, as Complainants improperly assert (Exc. at 39), that the OFF has obligations after delivery to the named consignee. Indeed, the very definition of OFF makes clear that it applies only to activities *in the United States* in support of an **export transaction**. See 46 U.S.C. 40102(18); *Edaf Antilles, Inc. v. Crowley Caribbean Logistics LLC*, 33 S.R.R. 710, 717-18 (ALJ, Admin. Final 2014). Here, by contrast,

⁵⁷An NVOCC is by definition a common carrier, which means, inter alia, that it "assumes responsibility for the transportation from the port or point of receipt to the port or point of destination." 46 U.S.C. 40102(6).

⁵⁸ Complainants' own cases are to like effect. See, e.g., *Zima Corp. v. M.V. Roman Pazinski*, 493 F. Supp. 268, 273 (S.D.N.Y. 1980) (NVOCCs "hold themselves out 'not merely to arrange with common carriers for the transportation of the goods, but rather to deliver them safely to the consignee."); *Ca' de Be' Imports, Inc. v. Zim-American Israeli Shipping Co.*, 2006 U.S. Dist. LEXIS 127, 2006 WL 23547 (E.D. Pa. Jan. 4, 2006) [LEXIS cite added] (both cited but misunderstood by Complainants).

the complained of actions all took place in Finland, and all involved activities regarding foreign import, not U.S. export.

b. Complainants Misstate How the Industry Operates.

Complainants make multiple incorrect statements about bills of lading and other such documents.⁵⁹ They assert, for example, that bills of lading are negotiable. (Exc. at 36). As the Commission well knows, that is at best half-accurate – some bills of lading are negotiable, while others – often referred to as straight bills of lading or sea waybills -- are not. See, e.g., 49 U.S.C. 80103 (comparing negotiable and non-negotiable bills of lading). The bills of lading issued by MSC were expressly stated to be non-negotiable,⁶⁰ as were the Dock Receipts/Bills of Lading sent by EUL to Global. For non-negotiable bills of lading, the goods are to be delivered to the named consignee, regardless of who may hold the bill.

Likewise, Complainants talk (Exc. at 36-37) about “commercial sets,” and misrepresent their significance. That is not a term generally used in ocean shipping, at least not today (the cited publication is from 1952). More importantly, of the four items in the set, only one – the bill of lading -- would likely be in the possession of, or available to, the carrier. The other three – the merchant’s invoice, the insurance policy, and the draft bill of exchange⁶¹ – would be only in the hands of the parties to the commercial transaction, not the carrier.

⁵⁹We do not bother with trivial errors, such as Complainants unsupported, and insupportable, claim (Exc. at 36) that all cargo in international ocean shipping moves by bill of lading.

⁶⁰Three of the MSC bills are sea waybills, which by definition are non-negotiable (and are also expressly marked non-negotiable), while the other is expressly designated non-negotiable. See Appendix 13 to Complainants’ Exceptions.

⁶¹Today, parties typically use a letter of credit, but the carrier would not have that either.

c. **There Are No “Missing” Documents.**

Complainants muse about documents they believe should be included within the “shipping documents” produced by EUL, and speculate about potentially sinister implications, such as EUL giving falsified documents to the Export Agencies or failing to produce the true documents here. The truth, however, is rather bland. All of the documents required to be provided to CBP⁶² were in fact provided to CBP, in the form required by CBP.⁶³ The reason why some of them were not included in EUL’s production of shipping documents is simple – *they are not in EUL’s possession, custody or control.*

Specifically:

- **Date-Stamped Dock Receipts.** As explained above, EUL did not have any date-stamped dock receipts, which in any event are the same as the produced dock receipts, other than the PNCT stamp showing the on-pier date, a matter not in issue. An independent trucking company received the stamped receipts and brought them to CBP, along with the title.
- **Lien Releases.** As discussed above, none of the four cars was subject to a lien at the time of shipment, so Claimants’ assertions about these none-existent documents are simply a *non sequitur*.
- **Stamped Titles.** Complainants refer repeatedly to the absence of car titles as returned by CBP. Such titles are the exact same documents as the original titles proffered to CBP, and produced in identical form by both EUL and Complainants herein, except for a small

⁶²Complainants improperly insert in their list of documents items not in fact required by CBP at the time of the subject shipments, and not mentioned at all in the very regulations Complainants selectively quote, such as bills of sale.

⁶³As Complainants themselves explain, the Export Agencies at the Port of New York were, at the relevant time, more flexible about documentation than at some of the other ports. Exc. at 37.

stamp or punch hole indicating processing by CBP. It is very unclear what Complainants think these might show, but certainly CBP would not change the name of the titleholder or otherwise add Complainants' names to the title.⁶⁴ As noted above, EUL did not retain any such documents, which it understands to be consistent with law and industry custom. What it retained, and produced, was a copy of the original title as it was produced to CBP.

- **Invoices.** It is a mystery to EUL what Complainants mean when they refer to invoices. If they mean the invoices that EUL sent to Global, those have been produced by both Respondents (in original form) and by Complainants (as doctored). It appears that Complainants are again playing name games – re-naming the invoices that the parties actually used as “statements” and referring to various numbers in a spreadsheet as “invoice numbers.” As detailed below (pp. 49-50), this is pure prevarication by Complainants, who know, *and say they know*, that these are not invoice numbers, but rather export reference numbers. Exc. at 50 n.15.⁶⁵ If Complainants mean invoices sent by Global to Complainants, those would of course be in the possession of Complainants, not EUL.

d. EUL Had No Knowledge of Complainants – Actual or Imputed.

Complainants assert that EUL either had actual knowledge of Complainants or should be deemed to have such knowledge as a result of the Export Rules. Exc. Parts C, D. The simple

⁶⁴ To the extent that Complainants believe the stamped titles might show CBP review, such proof is found in the fact that all 680 vehicles (including these four) were actually exported without CBP demur.

⁶⁵ Furthermore, Complainants Counsel was counsel for Global at the time and would have any such invoices if they existed, as he does other documents sent from EUL to Global. This is simply additional proof, if more were needed, of Complainants' blatant deceit.

answer to these arguments is that knowledge, whether actual or assumed, has no bearing on subject matter jurisdiction under the Shipping Act. Sea-Land, for example, clearly knew who Sea-Land Dominica was, but that did not stop the Commission from deciding that Sea-Land Dominica was not a shipper and so the Commission did not have subject matter jurisdiction. The same was also true of *Pro Transport*, where the carrier surely knew what trucker it was using. Rather, the only question is the role of the putative Complainant in the carrier's transportation obligation – which is defined not by knowledge, but rather by the contract of affreightment.⁶⁶ If a carrier has cargo to deliver, say to a wholesaler in England shown as consignee on the bill of lading, it may well know that such wholesaler sells the goods to Harrods. But that would not allow Harrods to sue the carrier in the event that a delivery problem reduced Harrods's inventory any more than if the carrier had no knowledge of its purchases. Nor could Harrods show up at the dock and ask that the cargo be delivered to it, as purchaser, bypassing the wholesaler, unless of course the bill of lading was negotiable and had been negotiated to Harrods.

Although the issues of imputed knowledge and actual knowledge are treated separately by Complainants – the former in Exceptions Part C and the latter in Part D, it seems more logical to address them together, and to start with the question of actual knowledge.

i. EUL Had No Actual Knowledge of Complainants.

The record shows beyond dispute that EUL had no notion about Complainants at any time before the cars were delivered to CarCont – indeed at any time before the cars were

⁶⁶It is axiomatic that parties may not confer subject matter on the Commission even by agreement, much less by dint of unilateral knowledge. *Burlington Northern RR v. M.C. Terminals, Inc.*, 26 S.R.R. 682, 692 (Init. Dec. 1992), reversed in part on other grounds, 26 S.R.R. 934 (FMC 1993) (“It is . . . a fundamental principle of law that parties cannot confer subject matter jurisdiction [which includes standing] on an agency . . . by waiver, agreement, estoppel, or the like”); *Vinmar, Inc. v. COSCO*, 26 S.R.R. 130, 132 (ALJ) affirmed 26 S.R.R. 420 (FMC 1992)(“subject matter jurisdiction is not something that parties can confer on the Commission without statutory authority even if they agree”).

liquidated. This is apparent from the testimony both of EUL and of Mr. Kapustin, head of Global. As Mr. Hitrinov explained for EUL:

“EUL never had any communications or other dealings with the Complainants. Nor did any of the documents, including the titles, provided by Global include the names of the Complainants. **Indeed, EUL did not learn Complainants’ identities until well after their vehicles were liquidated as collateral in Finland.**” Hitrinov Aff. 32 (emphasis added).

Mr. Kapustin confirmed:

“[T]he Group never provided anyone outside the group, let alone Empire, with the identity of the buyers of vehicles from the Group. . . . In fact, not only did the Group **never advise Empire of the identity of Complainants**, but at the time the four vehicles at issue were being shipped from the USA to Finland, the Group had **represented to Empire that these vehicles were not yet sold.**” Kapustin Aff. 29-30 (emphasis added).”

Before the Presiding Officer, Complainants effectively admitted that Respondents were unlikely to know about Complainants. In their Reply to EUL’s Motion for Judgment **[60] at 7**, they acknowledged that “there exists no reason as to why Respondents, who were consigned to have acted merely as the shipper [carrier] of said automobiles would have such information [about Complainants purportedly being purchasers of the cars] in the first instance.”

Complainants now find it expedient to pivot 180 degrees and argue that Respondents did know about Complainants. Complainants’ dizzy-making reversal of position is misplaced.

Complainants’ new argument about EUL’s supposed knowledge is based entirely on Appendices 2 and 3 within Appendix 14 to their Exceptions **[175]**.⁶⁷ Complainants’ reference to

⁶⁷Complainants’ Counsel also asserts, with absolutely no citation to the record, that EUL repeatedly requested from Global “*Global’s invoices* [to complainants] for the sale of the subject vehicles.” Exc. at 46. Not only is this assertion unsupported, it is an outright lie. Global never provided EUL with a single invoice it sent to Complainants, the proof being that, if it had, proof thereof would have been produced herein by Global’s own lawyer, now Counsel to Complainants. EUL did on rare occasions see the invoice by which Global **bought a vehicle** (to verify the value of an Investment Vehicle), but it absolutely never saw any Global invoices for the **sale** of any vehicle.

these Appendices as support is wholly misleading and ethically quite questionable. As to Appendix 2, Counsel for Complainants is, as former counsel to Global, well aware that the documents therein are dated well **after** the vehicles were sold. The date of the emails is **May 13-14, 2013**. The complaint in the EDNY was filed on **April 27, 2013**, which was already well **after** liquidation of the vehicles. The documents were prepared by CarCont, based on information obtained from the Finnish police investigation of Mr. Kapustin, and were sent by CarCont to EUL for consideration in connection with the already-commenced EDNY litigation (and as indicated by their Bates numbers, were produced to Global (and Complainants' Counsel) in the EDNY litigation). The documents thus say **nothing** about what EUL knew or did not know at the time that the cars were delivered in Finland. It is shocking that Complainants reiterate this false claim, made to no avail below, without identifying this dispositive fact.

As to Appendix 3, Complainants attempt to mislead the Commission regarding the provenance of this document by failing to provide any foundation regarding what this document purports to be, including: (i) by whom it was prepared, (ii) for what purpose it was prepared, or (iii) by whom it was maintained. This document is a two-page spreadsheet that is Bates stamped beginning with the PLS prefix and marked as "CONFIDENTIAL". As Respondents already explained in their August 16, 2016 Motion to Correct the Record [90] the spreadsheet was a Global internal document produced for the first time in the EDNY litigation in June 2014 by co-counsel to Complainants' counsel, and there is nothing to suggest that EUL ever saw or possessed this spreadsheet prior to their production in the EDNY litigation.

In sum, the totality of Complainants' evidence that EUL knew who the Complainants were at the time of delivery is precisely zero.

ii. Knowledge May Not Be Imputed to EUL

Complainants make the far-fetched assertion that knowledge regarding Complainants may be imputed to EUL by grafting the Export Rules onto the Shipping Act. As we have already shown, Complainants are entirely mistaken with respect to what EUL was required to know, and CarCont was in fact the correct ultimate consignee. Accordingly, Complainants entire edifice of cards collapses.

B. The ALJ Did Not Improperly “Delimit” Standing.

Complainants assert that the Presiding Officer improperly narrowed the scope of standing, requiring Complainants to prove that they were consignees. Exc. at 27-30. Astonishingly, they make this claim without any reference to FMC precedent. And, their assertions are based on misleading representations regarding the case law.

Analysis must begin with the obvious point that, when a factual attack is made on subject matter jurisdiction, it is the Complainants’ burden of proof to demonstrate standing (see pg. 12 above). Here, as demonstrated above, Complainants succeeded in showing only that they were total strangers to the transaction – their names were found nowhere on any of the documents defining the transportation arrangement. They were not shown on any of the bills of lading, any of the dock receipts, or, secondarily, the title or any of the export documents. Nor, despite their protestations, were they even known to EUL at the time that the vehicles were delivered to CarCont.

The Commission’s case law, discussed in Part I, above, clearly requires much more. As the Commission well knows, the person to whom a carrier is required to deliver cargo depends on the bill of lading or other contract of affreightment between the carrier and the shipper. Under a negotiable (or to order) bill of lading, the delivery obligation runs to the person who presents the original bill of lading at destination, regardless of the name in the consignee box.

Under a non-negotiable bill of lading (such as a straight bill or sea waybill), the carrier must deliver the cargo to the entity listed as the consignee, and may make delivery upon presentation of appropriate identification. Thus, the Commission defines “consignee” as “the recipient of cargo from a shipper; the person to whom a transported commodity is to be delivered.” 46 C.F.R. 520.2. And a carrier violates the Shipping Act if it delivers the cargo to someone other than the person thus entitled to receive the cargo. See *Bimsha*, supra.

Complainants assert that case law supports their bold claim that anyone with any connection to the cargo, even if not to the transportation, has standing to seek reparations from a common carrier. Exc. at 27. Quite simply, the case they cite does not, and cannot, as Complainants attempt, be twisted to, support any such claim. Complainants assert that the court in *Polo Ralph Lauren, L.P. v. Tropical Shipping & Constr. Co.*, 215 F.3d 1217 (11th Cir. 2000), allowed the plaintiff to show standing by demonstrating a proprietary interest in the goods. That case, however, was not brought under the Shipping Act, but under COGSA, where cargo ownership, rather than relationship, is the *sine qua non* for standing. And it was brought in a court of general jurisdiction, not before a Commission of specifically limited jurisdiction.

Finally, Complainants claim that the Shipping Act contemplates complaints against common carriers by anyone in the chain of commerce, whether they be “ultimate purchasers,” “end users” or “ultimate consignees.” Exc. at 9. Under that theory, a consumer who purchases American beer, cigarettes or cars in a foreign country would have standing to seek reparations from the ocean carrier and/or NVOCC that transported the cargo from the United States to the foreign country if there was a plausible Shipping Act violation in the transportation and delivery, even if such consumer was four, five, or even more steps down the chain of distribution.

Complainants cite no FMC precedent for this wild theory, and as discussed above, that precedent -- the true “controlling law” -- is directly to the contrary.⁶⁸

C. Complainants Are Not Entitled to Additional Discovery or Evidentiary Hearing.

Complainants assert that they should have been granted additional discovery and/or an evidentiary hearing by the Presiding Officer before the matter was dismissed for lack of jurisdiction. Exc. 22-26. Such a claim is: (1) not properly raised on Exceptions, and (2) entirely specious in light of the extensive discovery that did take place and Complainants’ failure to identify how any discovery they might have obtained could have affected the result.

1. Complainants Forfeited Any Further Discovery or Evidentiary Hearing.

Complainants never asserted below that they needed additional discovery in order to respond to EUL’s Motion for Judgment. They did not, in response to EUL’s Motion for Judgment file an affidavit or declaration of the sort specified in Rule 56(d) requesting further discovery before responding to a motion for judgment. F.R.C.P 56(d) [formerly 56(f)]. Indeed, Complainants made absolutely no assertion regarding the need for discovery either in their Response to the Motion for Judgment or in their two responses to the Presiding Officer’s Order to Supplement the Record. Nor did they ever claim that an evidentiary hearing was required.

This failure pretermits Complainants’ newly-contrived claims. As the courts have routinely held, a party waives any claim of inadequate discovery unless it made (and supported) a claim that it needed specific discovery in order to respond to the motion to dismiss or for

⁶⁸ One can also just imagine the practical mischief that a rule of the sort suggested by Complainants would entail. The carrier could be sued not only by the actual consignee, but also by the wholesaler to which he sold it, the retailer who bought it from the wholesaler (and any intermediary if there was one), the consumer who bought it from the store, and anyone who bought it from the initial consumer. And if this were allowed, who would be entitled to the reparations – one of them, some of them, all of them?

summary judgment. In *Bradley v. United States*, 299 F.3d 197, 2007 (3d Cir. 2002), for example, the court explained that “in all but the most exceptional cases, failure to [submit an affidavit showing why discovery is needed in order to respond] is fatal to a claim of insufficient discovery”. Likewise, the Fifth Circuit has held that a party “waives the issue of inadequate discovery” when it fails to properly request relief in response to a jurisdictional motion. *Access Telecom, Inc. v. MCI Telecoms. Corp.*, 197 F.3d 694, 719 (5th Cir. 1999).⁶⁹

Complainants do not in their Exceptions claim that they submitted the equivalent of a Rule 56(d) affidavit or that they otherwise made any showing before the Presiding Officer that they needed certain discovery in order to respond. And even if Complainants’ very belated September 2, 2016 Motion Requesting Ruling on Outstanding Discovery **[108]** is considered, it is much too little and extremely late.⁷⁰

In any event, Complainants’ Motion comes nowhere near the standards enunciated by the courts for claiming that a motion should be held until further discovery is complete. In particular, Complainants made absolutely no attempt to make two requisite showings.

The courts have ruled that a party seeking further discovery in order to respond to a motion for judgment must specify what “particular information is sought; how, if uncovered it

⁶⁹ To like effect, see, e.g., *Avila v. Travelers Ins. Co.*, 651 F.2d 658, 660 (9th Cir. 1981) (“A contention by an opposing party that he had insufficient time to present specific facts in opposition to the motion normally cannot be made for the first time on appeal”); *Village of Oakwood v. State Bank & Trust Co.*, 539 F.3d 373, 384 (6th Cir. 2008) (filing of an affidavit in response to a motion for judgment “is necessary in order to preserve the argument that the grant of summary judgment was too hasty and precluded necessary discovery”).

⁷⁰ As the First Circuit explained in *Massachusetts School of Law v. Andover*, 142 F.3d 26, 44 (1st Cir. 1998):

“To savor the balm of Rule 56(f), a party must act in a timely fashion. . . . It is firmly established that a Rule 56(f) motion must be made within a reasonable time following the motion for summary judgment. . . . This means that a Rule 56(f) motion normally should precede or accompany the response to the summary judgment motion or follow as soon as practicable thereafter.”

would preclude summary judgment; and why it has not been previously obtained.” *Dowling v. City of Philadelphia*, 855 F.2d 136, 139-40 (3d Cir. 1988).⁷¹

Complainants’ Motion did not meet those standards. Apart from being untimely at over 60 days after Complainants’ response to EUL’s Motion for Judgment and almost a month Complainants’ last reply to the Presiding Officer’s Order to Supplement the Record, it is simply conclusory and entirely devoid of detail, or details.⁷² Complainants did no more than speculate that documents that might conceivably turn up would “contain indicia of complainants’ ownership of the automobiles at issue,” and assert that these would show them to have standing.

Even apart from this rank speculation, Complainants’ request for a ruling on discovery was premised on the false proposition that an ownership interest in the vehicles would entitle them to standing. As the ID holds (at 65) and we demonstrated above, ownership *vel non* is not the issue; rather, it is an entity’s status under the contract of affreightment that affords standing.

⁷¹ See, e.g., *Libertarian Party of New Mexico v. Herrera*, 506 F.3d 1303, 1308-09 (10th Cir. 2007) (request for further discovery must show “specific facts which would create a genuine issue of material fact,” and “state with specificity how the additional materials will rebut the summary judgment motion”); *Taylor Acquisitions, L.L.C. v. City of Taylor*, 313 Fed. Appx. 826 (6th Cir. 2009) (“request that contains only general and conclusory statements or lacks any details or specificity is insufficient”); *Washington v. Allstate Ins. Co.*, 901 F.2d 1281, 1285 (6th Cir. 1990) (“nonmovant must ‘present specific facts explaining his inability to make a substantive response as required by Rule 56(e) and by specifically demonstrating ‘how postponement of a ruling on the motion will enable him, by discovery or other means, to rebut the movant's showing’”) (quoting in part from *Securities and Exchange Commission v. Spence & Green Chemical Co.*, 612 F.2d 896, 901 (5th Cir. 1980)).

⁷² Complainants fail to explain, for example, why their names might be expected to appear on other versions of the same documents they already have, none of which identify any of them, but rather list CarCont as the consignee.

2. Complainants' Claims Are Specious.

Complainants' failure to assert any need for either (i) discovery in order to respond or (ii) an evidentiary hearing also demonstrates that their new-found claims are specious.

In any event, it is clear beyond peradventure that Complainants had more than sufficient discovery and opportunity to present evidence/respond to arguments. As acknowledged by Complainants, the Presiding Officer very early on required both sides to submit as initial discovery all of their "shipping documents" regarding the shipments at issue, including bills of lading, freight rate quotes, shipping agreements, booking confirmations, dock receipts, invoices, certificate of title and export and import declarations. Respondents submitted all such documents within their possession and control, and assume Complainants did likewise. And as obvious from Complainants extensive submission of documents from other proceedings, especially the EDNY litigation, and from the files of Global, they also have an additional plethora of information.

Complainants seem to believe that the issue relates not to what the Presiding Officer ordered, but to what Respondents provided in response thereto and the Presiding Officer's failure to compel production of further materials. As explained multiple times to Complainants, the Presiding Officer, and now the Commission, however, these were all the "shipping documents" in EUL's possession, custody and control, and neither the Presiding Officer nor this Commission can squeeze blood out of a turnip.⁷³ See, e.g., Respondents' June 21, 2016 Response to Complainants' Motion to Strike, to Preclude, and to Compel Compliance with the Presiding Officer's Orders [54].

⁷³F. Marryat "Japhet in Search of a Father" Part 1, Ch. IV (1836).

Given this background, Complainants' new-found objections are entirely without merit. They first suggest (then repeat in multiple guises) that there is some sort of flat prohibition in the federal courts against granting a factual attack on jurisdictional grounds until full discovery has taken place. The cases they cite – all from within the Ninth Circuit – are misrepresented and do not support their bold claim.

The key case on the matter, which Complainants cite only second-hand, is *Safe Air for Everyone v. Meyer*, 373F.3d 1035 (9th Cir. 2004). There, the Ninth Circuit made clear that they were addressing only “cases premised on federal-question jurisdiction,” which they referred to as “exceptional” and subject to heightened standards. *Id.* at 1039. The court explained that, in such cases:

“[A] jurisdictional finding of ***genuinely disputed facts*** is inappropriate when the jurisdictional issue and substantive issues are so intertwined that the question of jurisdiction is dependent on the resolution of factual issues ***going to the merits*** of an action.” *Id.* (emphases added).

Safe Air for Everyone and its progeny are wholly irrelevant here for at least two reasons. First, as the Ninth Circuit made clear, but Complainants ignore, the special rule is applicable only to federal courts addressing issues of federal-question jurisdiction, not to agencies addressing their own jurisdiction. Second, even in that limited circumstance, the principle applies only to “genuinely disputed facts,” and only when the facts to be resolved for jurisdiction require resolution of facts ***necessary for the merits*** of the action. Neither is true here.

Complainants identify no genuinely disputed facts upon which the Presiding Officer based his ID. More importantly, Complainants fail even to suggest in what way resolution of the jurisdictional question would require resolution of facts going to the merits, and clearly it would not. The legal question regarding jurisdiction is whether Complainants, total strangers to the shipping arrangements between Global and EUL, nevertheless have standing to seek reparations.

This is wholly independent of the questions regarding the merits, which are: (i) whether EUL violated the Shipping Act, and (ii) if so, whether such violation directly caused injury to the Complainants. All of the other cases cited by Complainants follow *Safe Air*, and are of precisely the same, irrelevant ilk.⁷⁴

Complainants' then simply rehash the very same substantive claim several times in slightly different clothes, asserting that each of their propositions is "well-settled."⁷⁵ These recast quibbles fare no better than the first, as they all rely on the same false predicate that the jurisdictional issues be the same as the issues on the merits.⁷⁶ Nor do Complainants' case citations for this motley assortment of retreads offer them any. They are all irrelevant, and as shown in the margin, self-distinguishing.⁷⁷

⁷⁴*Johnson v. Jacobs*, No. 2:14-CV-02323-JAM, 2015 WL 1607986, 2015 U.S. Dist. LEXIS 46706, (E.D. Cal. 2015) ("resolution of factual issues going to the merits of this action"; "disputed issues of fact"); *Johnson v. Conrad*, No. 2:14-CV-00596-MCE, 2014 WL 6670054, 2014 U.S. Dist. LEXIS 164237 (E.D. Cal. 2014) ("jurisdictional finding of genuinely disputed facts . . . dependent on the resolution of factual issues going to the merits of an action"); *Johnson v. Hernandez* No. 2:14-CV-01635-MCE, 2014 WL 6670170, 69 F. Supp. 3d 1030, 2014 U.S. Dist. LEXIS 164234 (E.D. Cal. 2014) ("jurisdictional finding of genuinely disputed facts . . . dependent on the resolution of factual issues going to the merits of an action").

⁷⁵ Thus, for example, Complainants assert *seriatim* that: (i) "it is well settled that in a ruling on a jurisdictional motion involving factual issues which [sic] also go to the merits, the trial court should employ the standard applicable to a motion for summary judgment" (Exc. at 23); (ii) disputed facts should not be addressed on a motion to dismiss, (Exc. at 22); and (iii) it is "equally well settled that a Motion to Dismiss should be denied as premature," and deferred until "after Plaintiff has had an opportunity to examine and/or obtain documents relevant to his claims." (Exc. at 23, 25).

⁷⁶*Augustine v. United States*, 704 F.2d 1074, 1077 (9th Cir. 1983) ("question of jurisdiction is dependent on the resolution of factual issues going to the merits"). *Acosta v. Fast N Esy II*, 2017 WL 75796 (E.D. CA, filed January 9, 2017) (same).

⁷⁷ *Cope v. Felts*, No. CIV A 505-CV-01175, 2007 WL 858621, 2007 U.S. Dist. LEXIS 19426 (S.D. W. Va. 2007), was a motion for summary judgment where the opposing plaintiff, unlike Complainants, filed a Rule 56(f) affidavit asserting that he could not respond without discovery. And the judge made clear that he would not have ordered any discovery but for the plaintiff's *pro se* status, a factor not in play here.

Crisp v. Dutton, No. A-15-CV-0431-LY-ML, 2015 WL 7076483, 2015 U.S. Dist. LEXIS 153021 (W.D. Tex. 2015), involved a simple decision by the court not to require that pleadings be made more detailed, especially as such facts (which officers took part in an assault) were in the unique possession of defendants and would readily be available through discovery.

Flexiteek Americas, Inc. v. PlasTEAK, No. 08-60996-CIV, 2009 WL 890613, 2009 U.S. Dist. LEXIS 88532 (S.D. Fla. 2009), is not nearly as advertised. It did not set any rule for motions to dismiss, indeed stating that when a factual attack is raised “a court can look outside the pleadings.” Rather, the court made a discretionary decision to briefly defer the matter, primarily because the proceeding was already well advanced, including discovery, so that motions for summary judgment were due soon in any event. In such circumstances, the court concluded that “this is not a situation where a decision on the standing issue at the outset of the case could result in the parties avoiding the costs of discovery.” The instant matter is quite different.

MSP Recovery LLC v. Progressive Select Insurance Co., No. 15-20616-CIV, 2015 WL 10457208, 2015 U.S. Dist. LEXIS 134484 (S.D. Fla. 2015), like *Flexiteek*, is simply a case where the court considered it “prudent” under the particular circumstances to defer a decision on jurisdiction.

Tonelli v. Chase Manhattan Bank, N.A., 372 N.Y.S.2d 662, 1975 N.Y. App. Div. LEXIS 10673, 49 A.D.2d 731 (N.Y. App. Div. 1st Dept. 1975) [not Second as claimed by Complainants] is about *in personem* jurisdiction, not subject matter jurisdiction, and involved information that would be readily found in the defendant’s records, and only there.. Here, EUL has no further records.

Wong v. Muddy Pig, Inc., 2015 U.S. Dist. LEXIS 5301 (D. Minn. 2015). Here, the trial court simply declined to turn a facial attack into a factual attack mid-stream.

Sawczyn v. BMO Harris Bank National Association, 8 F. Supp. 3d 1108 (D. Minn. 2014), The he judge made a discretionary decision to treat the motion as a facial attack in light of the limited record

Lawrence v. Dunbar, 919 F.2d 1525 (11th Cir. 1990), was precisely the type of case addressed above, where resolution of the issue of federal question jurisdiction would require resolution of disputed facts going to the merits, and acknowledged that, in the absence of such an issue, “no presumptive truthfulness attaches to plaintiff’s allegations, and the existence of disputed facts **will not preclude** the trial court from evaluating for itself the merits of jurisdictional claims.”

Eaton v. Dorchester Development, Inc. 692 F.2d 727, 729 (11th Cir. 1982), stands only for the proposition that “[s]ince the pleadings may not reveal whether the court has jurisdiction **some sort** of discovery may be necessary.” Here, Complainants obtained substantial discovery, including all of the available shipping documents and everything produced in the EDNY litigation.

DDB Technologies, LLC v. MLB Advanced Media, L.P., 517 F.3d 1284 (Fed. Cir. 2008), the court said only that under the specific circumstances, “limited jurisdictional discovery” requested by the plaintiff was warranted. Here, in contrast, Complainants never asserted that they could not respond on jurisdiction absent specified discovery, and in any event received substantial discovery pursuant to the orders of the Presiding Officer.

Indeed, several of the cases cited by Complainants actually support EUL, not them. Thus, for example, in *Thornhill Publishing Co. v. General Telephone & Electronics Corp.*, 594 F.2d 730, 733 (9th Cir. 1979), specifically explains that “[w]here the jurisdictional issue is separable from the merits of the case, the judge may [on a factual attack] consider the evidence presented with respect to the jurisdictional issue, resolving factual disputes if necessary.” Likewise, in *Johnson v Jacobs*, supra, at **1-2, the court set out the legal standards for factual attacks in a manner very similar to the ID:

“If the moving party asserts a factual attack, the court is ‘free to hear evidence regarding jurisdiction and to rule on that issue prior to trial, resolving factual disputes where necessary.’ . . . In resolving a factual attack, district courts ‘may review evidence beyond the complaint without converting the motion to dismiss into a motion for summary judgment.’ Courts consequently need not presume the truthfulness of plaintiff’s allegations. ‘Once the moving party has [made] a factual motion by presenting affidavits or other evidence properly before the court, the party opposing the motion must furnish affidavits or other evidence necessary to satisfy its burden of establishing subject matter jurisdiction.’”
Johnson v. Jacobs, supra,

Complainants next switch gears but slightly -- asserting what they call another “well settled” proposition that a plaintiff may be excused from its burden to demonstrate jurisdiction when the means of doing so are peculiarly in the control of the other side. But that is patently not the case here. The two sides produced almost entirely the same shipping documents – none showing any relationship of any Complainant to any transportation arrangement. Although Complainants speculate wildly about documents that **might** exist in theory, the **reality** is, as noted above, that EUL simply does not have any such documents. Moreover, Complainants offer no reason to believe that any such documents would demonstrate anything beyond what the existing documents show – that CarCont was the consignee and Complainants’ names totally absent.

Complainants final, purportedly “well settled,” principle is that a court must provide for an evidentiary hearing whenever it is presented with contradictory evidence. Any such principle has no relevance here, because the evidence provided by both sides was in perfect agreement that Complainants were total strangers to the transportation arrangement. That is what the Presiding Officer held, and he was totally correct in doing so.

Complainants again cite a series of irrelevant cases. In *United States v. 1988 BMW*, 235 F.3d 397 (8th Cir. 2000), principally relied upon by Complainants, standing to challenge a forfeiture under a federal statute was expressly conditioned on ownership, and there was a “warring paper” record regarding ownership that included substantial evidence for each side. Here, in contrast, it is totally irrelevant whether the Complainants did or did not own the vehicles (even though title was in another name and the cars were apparently sold at least twice). Rather, it is a relationship to the ocean transportation arrangement between carrier and shipper that is necessary, ownership or not. Furthermore, in *BMW* and the other cases cited by Claimants, there were important determinations of “witness credibility” that had to be made by the trial court, which suggested need for an evidentiary proceeding.⁷⁸

Moreover, there is a great difference in the types of hearings held by federal district courts and those held at the Commission, perhaps because of the Commission’s status as a specialized, expert agency, as opposed to the jack-of-all-trades federal courts. Very rarely, if ever, is there oral direct testimony in Commission proceedings, and even oral cross-examination

⁷⁸The other cases cited by Complainants as “see also” fare no better, as all involved circumstances in which (i) there was clearly contradictory evidence on a critical point, and (ii) individual credibility determinations were necessary to resolve the conflict. E.g., *Bischoff v. Osceola County*, 222 F.3d 874 (11th Cir, 2000); *Munoz-Mendoza v. Pierce*, 711 F.2d 421 (1st Cir. 1983) (*dictum*); *Martin v. Morgan Drive Away, Inc.*, 665 F.2d 598 (5th Cir. 1982); *Goldberg v. Kelly*, 397 U.S. 254 397 U.S. 254 (1970); *United States v. Lang*, 898 F.2d 1378 (8th Cir. 1990).

is quite unusual. Most hearings are purely on paper. Here, Complainants had more than ample opportunity to submit all the evidence and argument they wished – in response to the Motion for Judgment or in either of the responses to the Order to supplement the record. Surely nothing more is required.

D. Complainants’ Factual Quibbles Lack Merit.⁷⁹

At the tail end of their Exceptions, Complainants attempt to scatter dust by tucking in some disagreements with the Presiding Officer regarding findings he did or did not make. Exc. at 49-57. None of their motes is of sufficient size or weight to be noticed, and all may be easily brushed aside. Some are too trivial to mention, such as typographical errors or perhaps using a wrong word. And most are newly-minted.

1. Invoices. As just one example, Complainants criticize the Presiding Officer for a typographical error in which he wrote “involve,” instead of, as they argue, “invoice.” Exc. at 50 n.15. Even apart from the insignificance of this typo, Complainants frankly admit they are being untruthful when they refer to the identified numbers as “invoice” numbers.⁸⁰ As they, themselves, identify (Exc. at 50 n. 15), these numbers are “export reference numbers,” not invoice numbers at all. Indeed, as should be obvious, these are EUL’s own internal export reference for **container loads**.⁸¹ And as already explained, any alleged invoices from EUL to

⁷⁹ We have already addressed and dispelled Complainants’ false statement that Global identified the consignees to EUL.

⁸⁰ Complainants also misstate the facts when they assert (Exc. at 59) that they filed a motion to compel production of such non-existent invoices. The word “invoice” or anything similar does not appear anywhere in that motion.

⁸¹ Those EUL reference numbers do not appear anywhere on any Global documents, but they do appear in the “Export Reference” section on the Dock Receipts where they are set forth as “OUR REF#” (p. 76 of Appendix 15 to the Exceptions [**Complainants’ Production and Notice of Filing of May 2, 2016**] and pp. 92, 132, and 152 of Appendix 16 to the Exceptions [**Complainants’ Production and Notice of Filing of May 4, 2016**]). Those Dock Receipts were sent to and approved by Global and served as the draft for the MSC bills of lading. As a result

Global other than what Complainants refers to as statements,⁸² are purely imaginary,⁸³ as are the concocted claims about what these phantom documents might show.

2. **Misquotation of Judge Townes.** Nor need we deal at length with Complainants' truncated quote from Judge Townes that EUL "helped to finance [Kapustin's] scheme" [Exc. at 52], which they have carefully elided to suggest that EUL, like Complainants' Counsel, was part of Mr. Kapustin's scheme. When the ellipses that Complainants use to tailor the content of this statement are unmasked, they depict something quite different, namely that EUL, like Complainants, was unwittingly used by Global:

"EUL would take a "60% interest" in particular vehicles (so-called "Investment Vehicles"), and would be paid interest at a rate of 1.5% per month on those investments. Hitrinov Declaration, ¶ 16. The investment was "secured by a 60% interest in the Investment Vehicles." Id., ¶ 18. Kapustin agreed that "that EUL would be entitled to a right of possession in any Investment Vehicle ... until such time as it was released to a third-party buyer" and, to that end, delivered the documents of title for each such vehicle to EUL. Hitrinov Declaration, ¶ 5."

3. **Mr. Ovchinnikov's Payments.** Complainants cavil that the Presiding Officer may have overlooked a payment made by Mr. Ovchinnikov. Exc. at 52. Even if true, which we do not admit, such payment has no significance, and if error at all is plainly harmless error.

those EUL reference numbers also appeared on the MSC bills of lading in the Shipper box as a "REF #" (p. 227 of Appendix 21 to the Exceptions, and p. 258 of Appendix 23 to the Exceptions), and also as "Transportation Reference Numbers" in the AES filings (p. 226 of Appendix 21 to the Exceptions, and pp. 257 and 267 of Appendix 21 to the Exceptions). These reference numbers are identical across the Dock Receipt, MSC bill of lading and AES filings for each of the subject container loads

⁸²Stunningly, even in the face of an ethical complaint concerning their use, Complainants' Counsel cites to the fabricated version of the "statements" set forth in their appendix, even though these have been shown to be doctored.

⁸³ Complainants' Counsel is well aware that there were in fact no such invoices, as he was then counsel for Global. That he does not have them by having removed copies from Global or via discovery in the EDNY litigation, simply confirms they do not exist in the non-fictional world.

4. **Ownership.** Complainants briefly (Exc. at 58-59) resurrect their substantively-abandoned refrain that the cargo owner is, by that fact alone, a party to the transportation arrangement. As shown above, that is simply not the case. The “owner” may be party to a commercial contract with the seller, but this by itself does not give it any position in the contract of affreightment.⁸⁴

5. **Alleged Conflicts in the ID.** Complainants’ next make the naked suggestion (Exc. at 52) that there is some conflict between the statements by Global mentioned in the ID that (i) advance payment was merely a reservation and (ii) the purchaser would still owe certain costs incurred by Global after the transportation. This is simply a false conflict, as they can both be true simultaneously, and indeed, one might well expect them to both apply.

Similarly, Complainants try by sleight of hand to eke out a conflict between Mr. Ovchinnikov owing money to Global and the arrangement that Global made with EUL. Global’s arrangement with EUL, however, is quite clear as to who the shipper and who the consignee would be. What Complainants’ are really saying is that Global should have made a different transportation arrangement, one where Complainants were named as consignees. That is between them and Global.

6. **Miscellaneous Quibbles.** Complainants launch a series of inexplicable quarrels with the Presiding Officer about what documents were sent to whom, on what dates, without

⁸⁴ Complainants’ assertion is also undercut by their recognition of the fact that, even if the vehicle itself was fully paid, Complainants were liable to Global for costs incurred **by Global after** the ocean transportation ended, such as the storage costs at CarCont, and could not get the cars from Global until such costs were paid. Exc. at 52. This, by itself, shows conclusively that the vehicles were still within the purview of Global, not Complainants. If Complainants were part of the transportation contract, they would pay such expenses directly to the service provider.

once suggesting why such “errors” might be relevant to the outcome.⁸⁵ They assert, for example, that MSC and Global might have received “different” dock receipts. Any such claim is both patently false and a total red herring. MSC did not need, and EUL did not supply it with, any form of Dock Receipt. What EUL did was to pass on the shipper’s (Global’s) instructions by electronic transmission, which would have included the AES number. And the results of these instructions were, as seen, that the MSC bill of lading uniformly showed EUL as shipper and CarCont as consignee.

7. **Mr. Kapustin’s Alleged “Intent.”** Hidden at the very end of Complainants’ Exceptions (at 56-57) is a claim that: (i) Global intended the vehicles to be released to Complainants, and (ii) said so to EUL. This fiction is, of course, pure testimony of Counsel,⁸⁶ and insufficient to override the actual contract of affreightment. It is what Global did, rather than what it may or may not have secretly intended, that governs. In any event, Complainants’ assertion is factually incorrect.

The testimony from both EUL and Global established just the opposite. As Mr. Hitrinov explained, the instructions from the shipper (Global) were that the vehicles “could only be released to Global Cargo Oy,” and in fact, Global “never requested release of any of the four vehicles.” Hitrinov Aff. 29-30. And as previously noted, both Ms. Kapustina, the owner of titleholder Effect Auto, and Mr. Kapustin specifically instructed EUL to consign all of the

⁸⁵The only suggestion offered by Complainants is that this may have been part of some conspiracy to trick the Complainants into believing they could obtain the vehicles with these documents. Even apart from the unsupported speculation as to who intended what, Complainants fail to explain why anybody would think that a document without their name on it would entitle them to get a car from anyone other than the seller. And in any event, this would again be a dispute between the Complainants and Global.

⁸⁶Respondents also note that the argument of Complainants’ Counsel is based on his own, uncertified, translations. Not only is that inconsistent with the FMC’s Rules, but Counsel also “translates” only snippets, without any context.

vehicles to CarCont, expressing no suggestion that they be delivered to Complainants. **FF 51.** See Kapustin Aff. 27-29.⁸⁷ Finally, any question as to Mr. Kapustin's intent is resolved by Mr. Kapustin himself, at paragraph 67 of his Affirmation.

Complainants conveniently omit this testimony, and make an argument based on strained interpretations of certain emails and on factual assertions made up out of whole cloth.

Complainants' very first sentence -- that it is "undisputed" that they received the dock receipts from Kapustin/G Auto (Exc. at 56) -- is incorrect and misleading. They may have been sent by Mr. Kapustin or by Global Auto, but certainly not by "G Auto." More importantly, the allegation that it is "undisputed" that the documents were transmitted for the purpose of allowing Complainants to obtain the cars from CarCont is not only disputed, but patently untrue. As identified above, the testimony is crystal clear that CarCont never released any vehicles to private persons -- they were in every single case released to, and only to, Global Cargo Oy. And in any event, Complainants have not even hinted as to how a person receiving a dock receipt without his or her name on it and with someone else identified as consignee could reasonably, or even unreasonably, believe that this entitled him or her to receive anything.

Complainants' reliance on snippets from two emails⁸⁸ involving only one of the four vehicles and translated only by Complainants' Counsel is of no avail. Even apart from the technical deficiencies that preclude consideration of such self-translated "evidence," the argument is entirely lacking in merit.

⁸⁷ Thus, Complainants' double-negative claim (Exc. at 19) that "there is nothing on the record that indicates that Global *did not intend* the subject vehicles to be released to complainants," is patently false and at best disingenuous.

⁸⁸ Elsewhere (Exc. at 18), Complainants refer to a "chain of emails." That "chain" apparently consists of just two unrelated emails in which Mr. Nurgazinov is the sole common denominator.

One of the documents is a December 20, 2012 email from Global to Mr. Nurgazinov regarding the container number not being available. Complainants muse “[w]hy else [other than to help Mr. Nurgazinov collect the car] would Kapustin make such a statement.” Exc. at 57. Apart from the absence of any reference in the email to Mr. Kapustin, as opposed to Global, we can think of at least a dozen other reasons, even assuming that Mr. Kapustin was being honest. Most importantly, in what world does telling someone you don’t know the container number suggest that they are the lawful consignee? Could Mr. Nurgazinov go to CarCont and say look, I don’t know the container number, now please give me a car I claim is mine in some container I cannot identify?

The other document is a one-liner from Mr. Nurgazinov to Mr. Shavrikov of CarCont on February 23, 2013, well after the car was liquidated⁸⁹, forwarding a document. Complainants ask: “why else [other than to get the car] would Kapustin provide complainant with such document?” Id. This is rank speculation.⁹⁰ An alternative explanation, much more consistent with the fact that the email is dated well after the car was liquidated, is that Mr. Kapustin sent the document to Mr. Nurgazinov in an attempt to shift the heat from himself to CarCont. “Such document,” moreover, is merely a copy of the Dock Receipt (here labeled a master bill of lading) showing CarCont, not Mr. Nurgazinov, as the consignee. So whatever Mr. Kapustin intended, this certainly should not have suggested to anyone that Mr. Nurgazinov could pick up the car.

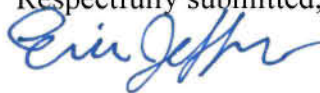
⁸⁹ As shown by Complainants’ own Exceptions, Mr. Nurgazinov’s vehicle left Finland on February 1, 2016, over three weeks before the email. Exc. App. 16 at App. 4 (Report by Finnish Customs).

⁹⁰ We are deeply troubled by the former counsel for Global testifying as a fact witness about what his former client intended, or may have intended.

CONCLUSION

In sum, we end where we began. Complainants have still not offered a single document, or a shred of evidence, that they were participants in the transportation process for any of these four vehicles. For that reason, and those explained in the ID and above, the ID should be affirmed and the Complaints dismissed.

Respectfully submitted,



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202-585-8000

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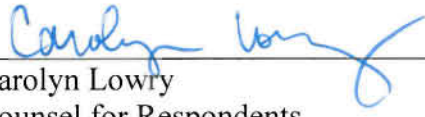
CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing Respondents' Reply to Exceptions and Notice of Appearance for Carolyn Lowry by U.S. Mail, First-Class, Postage Prepaid and E-Mail to the following:

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Date: June 23, 2017



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